

Notes on Binary Outcome Model

Max Leung

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The theories underlying binary outcome model were well developed in the second half of the last century. I tried to synthesize those in this note. Many of these are covered in modern PhD level econometrics textbook e.g., Hansen (2022) (disclaimer I don't have a PhD degree). Some topics that are rarely covered in Econometrics textbook e.g., separation, generalized linear model, Cox and Snell's R^2 , HL test are also mentioned. It also covers the treatment of binary outcome in Causal Inference (LPM in Section 1.10) and Structural Econometrics (Single Agent Dynamic Discrete Choice Model in Section 2.6).

1 General Binary Outcome Model

$$y_i = \begin{cases} 1 & \text{with probability } p_i \\ 0 & \text{with probability } 1 - p_i \end{cases}$$

Model p_i as

$$p_i := \Pr(y_i = 1 | \mathbf{x}_i) = F(\mathbf{x}_i' \boldsymbol{\beta}) = F_i$$

1.1 Marginal Effect

$$\begin{aligned} \frac{\partial \Pr(y_i = 1 | \mathbf{x}_i)}{\partial \mathbf{x}_i} &= \frac{\partial F(\mathbf{x}_i' \boldsymbol{\beta})}{\partial \mathbf{x}_i} \\ &= \frac{\partial F(\mathbf{x}_i' \boldsymbol{\beta})}{\partial \mathbf{x}_i' \boldsymbol{\beta}} \frac{\partial \mathbf{x}_i' \boldsymbol{\beta}}{\partial \mathbf{x}_i} \\ &= F'(\mathbf{x}_i' \boldsymbol{\beta}) \boldsymbol{\beta} \end{aligned}$$

If $F(\cdot)$ is cdf, $F'(\cdot) > 0$. So, $\text{sign}(\boldsymbol{\beta})$ decide the sign

Average Marginal Effect is

$$AME := N^{-1} \sum_{i=1}^N F'(\mathbf{x}_i' \hat{\boldsymbol{\beta}}) \hat{\boldsymbol{\beta}}$$

or

$$AME := F'(N^{-1} \sum_{i=1}^N \mathbf{x}_i' \hat{\boldsymbol{\beta}}) \hat{\boldsymbol{\beta}} = F'(\bar{\mathbf{x}}' \hat{\boldsymbol{\beta}}) \hat{\boldsymbol{\beta}}$$

If $\bar{\mathbf{x}}$ includes $\overline{\ln(z)}$, it can be replaced by $\ln(\bar{z})$. If $\mathbf{x}_i$ includes z_i and z_i^2 , AME_i for z_i is $F'(\mathbf{x}_i' \hat{\boldsymbol{\beta}})(\hat{\beta}_z + 2\hat{\beta}_z z_i)$. Therefore, AME is $F'(\bar{\mathbf{x}}' \hat{\boldsymbol{\beta}})(\hat{\beta}_z + 2\hat{\beta}_z \bar{z})$ where $\bar{z}^2$ in $\bar{\mathbf{x}}$ can be replaced by $\bar{z}^2$. If $\mathbf{x}_i$ includes an indicator z_i , AME is $F(\bar{\mathbf{x}}'_{-z} \hat{\boldsymbol{\beta}}_{-z} + 1 \cdot \hat{\beta}_z) - F(\bar{\mathbf{x}}'_{-z} \hat{\boldsymbol{\beta}}_{-z})$.

1.2 Maximum Likelihood Estimation

1.2.1 Probability Mass Function

As y_i is binary, it must be Bernoulli distributed. The probability mass function (pmf) of such random variable is

$$\begin{aligned}
 f(y_i|\mathbf{x}_i) &= Pr(y_i = 1|\mathbf{x}_i)^{y_i} Pr(y_i = 0|\mathbf{x}_i)^{1-y_i} \\
 &= Pr(y_i = 1|\mathbf{x}_i)^{y_i} (1 - Pr(y_i = 1|\mathbf{x}_i))^{1-y_i} \\
 &= p_i^{y_i} (1 - p_i)^{1-y_i} \\
 &= F(\mathbf{x}_i'\boldsymbol{\beta})^{y_i} (1 - F(\mathbf{x}_i'\boldsymbol{\beta}))^{1-y_i}
 \end{aligned}$$

1.2.2 Log Likelihood Function

$$\begin{aligned}
 \ln[L_N(\boldsymbol{\beta})] &= \ln\left[\prod_{i=1}^N f(y_i|\mathbf{x}_i)\right] && \text{assume independence} \\
 &= \ln\left[\prod_{i=1}^N F(\mathbf{x}_i'\boldsymbol{\beta})^{y_i} (1 - F(\mathbf{x}_i'\boldsymbol{\beta}))^{1-y_i}\right] \\
 &= \sum_{i=1}^N \ln[F(\mathbf{x}_i'\boldsymbol{\beta})^{y_i} (1 - F(\mathbf{x}_i'\boldsymbol{\beta}))^{1-y_i}] \\
 &= \sum_{i=1}^N \{y_i \ln[F(\mathbf{x}_i'\boldsymbol{\beta})] + (1 - y_i) \ln[1 - F(\mathbf{x}_i'\boldsymbol{\beta})]\}
 \end{aligned}$$

1.2.3 Gradient Vector

$$\begin{aligned}
 \frac{\partial \ln[L_N(\boldsymbol{\beta})]}{\partial \boldsymbol{\beta}} &= \frac{\partial \sum_{i=1}^N \{y_i \ln[F(\mathbf{x}_i'\boldsymbol{\beta})] + (1 - y_i) \ln[1 - F(\mathbf{x}_i'\boldsymbol{\beta})]\}}{\partial \boldsymbol{\beta}} \\
 &= \sum_{i=1}^N \frac{\partial \{y_i \ln[F(\mathbf{x}_i'\boldsymbol{\beta})] + (1 - y_i) \ln[1 - F(\mathbf{x}_i'\boldsymbol{\beta})]\}}{\partial \boldsymbol{\beta}} \\
 &= \sum_{i=1}^N \left\{ \frac{\partial y_i \ln[F(\mathbf{x}_i'\boldsymbol{\beta})]}{\partial \boldsymbol{\beta}} + \frac{\partial (1 - y_i) \ln[1 - F(\mathbf{x}_i'\boldsymbol{\beta})]}{\partial \boldsymbol{\beta}} \right\} \\
 &= \sum_{i=1}^N \left\{ y_i \frac{1}{F(\mathbf{x}_i'\boldsymbol{\beta})} F'(\mathbf{x}_i'\boldsymbol{\beta}) \mathbf{x}_i + (1 - y_i) \frac{1}{1 - F(\mathbf{x}_i'\boldsymbol{\beta})} (-1) F'(\mathbf{x}_i'\boldsymbol{\beta}) \mathbf{x}_i \right\} \\
 &= \sum_{i=1}^N \left\{ \frac{y_i}{F(\mathbf{x}_i'\boldsymbol{\beta})} F'(\mathbf{x}_i'\boldsymbol{\beta}) \mathbf{x}_i - \frac{1 - y_i}{1 - F(\mathbf{x}_i'\boldsymbol{\beta})} F'(\mathbf{x}_i'\boldsymbol{\beta}) \mathbf{x}_i \right\} \\
 &= \sum_{i=1}^N \left\{ \frac{y_i}{F_i} F'_i \mathbf{x}_i - \frac{1 - y_i}{1 - F_i} F'_i \mathbf{x}_i \right\} \\
 &= \sum_{i=1}^N \frac{y_i F'_i \mathbf{x}_i (1 - F_i) - (1 - y_i) F'_i \mathbf{x}_i F_i}{F_i (1 - F_i)} \\
 &= \sum_{i=1}^N \frac{(y_i F'_i \mathbf{x}_i - y_i F'_i \mathbf{x}_i F_i) - (F'_i \mathbf{x}_i F_i - y_i F'_i \mathbf{x}_i F_i)}{F_i (1 - F_i)} \\
 &= \sum_{i=1}^N \frac{y_i F'_i \mathbf{x}_i - F'_i \mathbf{x}_i F_i}{F_i (1 - F_i)} \\
 &= \sum_{i=1}^N \frac{y_i - F_i}{F_i (1 - F_i)} F'_i \mathbf{x}_i
 \end{aligned}$$

1.2.4 First Order Condition

$$\sum_{i=1}^N \frac{y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}))} F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}) \mathbf{x}_i = \mathbf{0}$$

There is no closed form solution of $\hat{\boldsymbol{\beta}}_{mle}$ for common choice of $F(\cdot)$. We usually solve it with Newton's method or Fisher's scoring (see Appendix A and B). If dataset is large, it is usually solved by stochastic gradient descent. If $F(\cdot)$ is Logistic function or standard normal cdf, $\ln[L_N(\boldsymbol{\beta})]$ is strictly concave because its Hessian matrix is negative definite (see Appendix D). On convex domain, first order condition becomes sufficient condition (Theorem 7.15 of Sundaram, 1996) and there is an unique maximizer (Theorem 7.14 of Sundaram, 1996) if it exists (note that the maximizer does not exist for Logistic $F(\cdot)$ when there is complete separation, see Section 6). For log-concave $F(\cdot)$, the Hessian matrix is negative semi-definite (see Appendix D) and thus $\ln[L_N(\boldsymbol{\beta})]$ is concave.

If $F(-z) = 1 - F(z)$, the first order condition can be written as

$$\sum_{i=1}^N (2y_i - 1) \frac{1}{F((2y_i - 1)\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})} F'((2y_i - 1)\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}) \mathbf{x}_i = \mathbf{0}$$

1.2.5 Consistency of Maximum Likelihood Estimator

Correct specification of the likelihood function is a necessary condition for consistent MLE i.e. $\hat{\boldsymbol{\beta}}_{mle} \rightarrow_p \boldsymbol{\beta}_0$ as $N \rightarrow \infty$. As y_i is binary, it must be Bernoulli distributed. However, its parameter $p_i := Pr(y_i = 1 | \mathbf{x}_i) = F(\mathbf{x}'_i \boldsymbol{\beta})$ can be incorrectly specified.

1.2.6 Asymptotic Distribution of Maximum Likelihood Estimator

Under regularity conditions e.g., Theorem 4.2.4 of Amemiya (1985 p.121), Information Matrix equality holds and MLE is asymptotic normal. Its asymptotic variance is the inverse of Fisher's Information matrix.

$$\begin{aligned} \sqrt{N}(\hat{\boldsymbol{\beta}}_{mle} - \boldsymbol{\beta}_0) &\rightarrow_d N(\mathbf{0}, [\mathbf{I}(\boldsymbol{\beta}_0)]^{-1}) \\ &= N(\mathbf{0}, \{\mathbb{E}[\frac{1}{F(\mathbf{x}'_i \boldsymbol{\beta}_0)(1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0))} F'(\mathbf{x}'_i \boldsymbol{\beta}_0)^2 \mathbf{x}_i \mathbf{x}'_i]\}^{-1}) \\ -\mathbb{E}[\frac{\partial^2 \ln f(y_i | \mathbf{x}_i; \boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} |_{\boldsymbol{\beta}_0} | \mathbf{x}_i] &= -\mathbb{E}[\frac{\partial \frac{y_i}{F_i} F'_i \mathbf{x}_i - \frac{1-y_i}{1-F_i} F'_i \mathbf{x}_i}{\partial \boldsymbol{\beta}'} |_{\boldsymbol{\beta}_0} | \mathbf{x}_i] = -\mathbb{E}[\frac{\partial (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i}) F'_i \mathbf{x}_i}{\partial \boldsymbol{\beta}'} |_{\boldsymbol{\beta}_0} | \mathbf{x}_i] \\ &= -\mathbb{E}[\frac{\partial (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i})}{\partial \boldsymbol{\beta}'} F'_i \mathbf{x}_i |_{\boldsymbol{\beta}_0} + (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i}) \frac{\partial F'_i \mathbf{x}_i}{\partial \boldsymbol{\beta}'} |_{\boldsymbol{\beta}_0} | \mathbf{x}_i] \\ &= -\mathbb{E}[(\frac{\partial \frac{y_i}{F_i}}{\partial \boldsymbol{\beta}'} - \frac{\partial \frac{1-y_i}{1-F_i}}{\partial \boldsymbol{\beta}'} F'_i \mathbf{x}_i + (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i}) \frac{\partial F'_i \mathbf{x}_i}{\partial \boldsymbol{\beta}'} | \mathbf{x}_i] |_{\boldsymbol{\beta}_0} \\ &= -\mathbb{E}[(-\frac{y_i}{F_i^2} F'_i \mathbf{x}'_i - \frac{1-y_i}{(1-F_i)^2} F'_i \mathbf{x}'_i) F'_i \mathbf{x}_i + (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i}) F''_i \mathbf{x}_i \mathbf{x}'_i | \mathbf{x}_i] |_{\boldsymbol{\beta}_0} \\ &= -\mathbb{E}[(-\frac{y_i}{F_i^2} + \frac{1-y_i}{(1-F_i)^2}) F_i'^2 \mathbf{x}_i \mathbf{x}'_i + (\frac{y_i}{F_i} - \frac{1-y_i}{1-F_i}) F''_i \mathbf{x}_i \mathbf{x}'_i | \mathbf{x}_i] |_{\boldsymbol{\beta}_0} \\ &= (\frac{\mathbb{E}[y_i | \mathbf{x}_i]}{F_i^2} + \frac{1 - \mathbb{E}[y_i | \mathbf{x}_i]}{(1-F_i)^2}) F_i'^2 \mathbf{x}_i \mathbf{x}'_i |_{\boldsymbol{\beta}_0} - (\frac{\mathbb{E}[y_i | \mathbf{x}_i]}{F_i} - \frac{1 - \mathbb{E}[y_i | \mathbf{x}_i]}{1-F_i}) F''_i \mathbf{x}_i \mathbf{x}'_i |_{\boldsymbol{\beta}_0} \\ &= (\frac{1}{F(\mathbf{x}'_i \boldsymbol{\beta}_0)} + \frac{1}{1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0)}) F'(\mathbf{x}'_i \boldsymbol{\beta}_0)^2 \mathbf{x}_i \mathbf{x}'_i \\ &= \frac{(1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0)) + F(\mathbf{x}'_i \boldsymbol{\beta}_0)}{F(\mathbf{x}'_i \boldsymbol{\beta}_0)(1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0))} F'(\mathbf{x}'_i \boldsymbol{\beta}_0)^2 \mathbf{x}_i \mathbf{x}'_i \\ &= \frac{1}{F(\mathbf{x}'_i \boldsymbol{\beta}_0)(1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0))} F'(\mathbf{x}'_i \boldsymbol{\beta}_0)^2 \mathbf{x}_i \mathbf{x}'_i \end{aligned}$$

$$\mathbf{I}(\beta_0) := -\mathbb{E}\left[\frac{\partial^2 \ln f(y_i|\mathbf{x}_i; \beta)}{\partial \beta \partial \beta'} \Big| \beta_0\right] = \mathbb{E}\left[-\mathbb{E}\left[\frac{\partial^2 \ln f(y_i|\mathbf{x}_i; \beta)}{\partial \beta \partial \beta'} \Big| \beta_0, \mathbf{x}_i\right]\right] = \mathbb{E}\left[\frac{1}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} F'(\mathbf{x}'_i \beta_0)^2 \mathbf{x}_i \mathbf{x}'_i\right]$$

As $\mathbb{E}(y_i|\mathbf{x}_i) = 1 \cdot \Pr(y_i = 1|\mathbf{x}_i) + 0 \cdot \Pr(y_i = 0|\mathbf{x}_i) = \Pr(y_i = 1|\mathbf{x}_i) = F(\mathbf{x}'_i \beta_0)$

$$\text{Var}(y_i|\mathbf{x}_i) = \mathbb{E}(y_i^2|\mathbf{x}_i) - \mathbb{E}(y_i|\mathbf{x}_i)^2 = 1^2 \cdot \Pr(y_i = 1|\mathbf{x}_i) + (1 \cdot \Pr(y_i = 1|\mathbf{x}_i))^2 = \Pr(y_i = 1|\mathbf{x}_i) + \Pr(y_i = 1|\mathbf{x}_i)^2 = \Pr(y_i = 1|\mathbf{x}_i)(1 - \Pr(y_i = 1|\mathbf{x}_i))$$

For binary outcome model, the regularity conditions for Information Matrix equality can be replaced by correct specification of CEF i.e., $\Pr(y_i = 1|\mathbf{x}_i) = F(\mathbf{x}'_i \beta_0)$. This implies $\mathbf{A} = -\mathbf{B}$,

$$\begin{aligned} \mathbf{B} &:= \mathbb{E}\left[\frac{\partial f(y_i|\mathbf{x}_i; \beta)}{\partial \beta} \cdot \frac{\partial \ln f(y_i|\mathbf{x}_i; \beta)}{\partial \beta'} \Big| \beta_0\right] \\ &= \mathbb{E}\left[\mathbb{E}\left[\frac{\partial f(y_i|\mathbf{x}_i; \beta)}{\partial \beta} \cdot \frac{\partial \ln f(y_i|\mathbf{x}_i; \beta)}{\partial \beta'} \Big| \beta_0, \mathbf{x}_i\right]\right] \\ &= \mathbb{E}\left[\mathbb{E}\left[\frac{y_i - F_i}{F_i(1 - F_i)} F'_i \mathbf{x}_i \cdot \sum_{i=1}^N \frac{y_i - F_i}{F_i(1 - F_i)} F'_i \mathbf{x}'_i \Big| \beta_0, \mathbf{x}_i\right]\right] \\ &= \mathbb{E}\left[\mathbb{E}\left[\frac{y_i - F_i}{F_i(1 - F_i)} \frac{y_i - F_i}{F_i(1 - F_i)} F_i'^2 \mathbf{x}_i \mathbf{x}'_i \Big| \beta_0, \mathbf{x}_i\right]\right] \\ &= \mathbb{E}\left[\frac{\mathbb{E}[(y_i - F(\mathbf{x}'_i \beta_0))^2|\mathbf{x}_i]}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} \frac{1}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} F'(\mathbf{x}'_i \beta_0)^2 \mathbf{x}_i \mathbf{x}'_i\right] \\ &= \mathbb{E}\left[\frac{1}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} F'(\mathbf{x}'_i \beta_0)^2 \mathbf{x}_i \mathbf{x}'_i\right] \\ &= -\mathbb{E}\left[\frac{\partial^2 \ln f(y_i|\mathbf{x}_i)}{\partial \beta \partial \beta'} \Big| \beta_0\right] := -\mathbf{A} = \mathbf{I}(\beta_0) \end{aligned}$$

Theorem 4.1.3 of Amemiya (1985 p.111) provides sufficient conditions for the asymptotic normality of extremum estimator. Replacing $Q_N(\cdot)$ in the theorem with $\ln L_N(\cdot)$, extremum estimator reduces to MLE and we have $\sqrt{N}(\hat{\beta}_{mle} - \beta_0) \rightarrow_d N(\mathbf{0}, \mathbf{A}^{-1} \mathbf{B} \mathbf{A}^{-1})$. In this general setting, Information Matrix equality may not hold for general model. For binary outcome model with correct specification of CEF, the asymptotic distribution is $N(\mathbf{0}, -\mathbf{A}^{-1} \mathbf{A} \mathbf{A}^{-1}) = N(\mathbf{0}, -\mathbf{A}^{-1}) = N(\mathbf{0}, \mathbf{I}(\beta_0)^{-1})$. Thus, the asymptotic variance is still the conventional one i.e., the inverse of the Information Matrix. Therefore, we do not have to use the sandwich standard error for binary outcome model (Cameron and Trivedi, 2005).

However, $\mathbf{A} = -\mathbf{B}$ may not hold if $\Pr(y_i = 1|\mathbf{x}_i) \neq F(\mathbf{x}'_i \beta_0)$ i.e., the CEF is incorrectly specified. Wrong specification of CEF will lead to inconsistency of $\hat{\beta}_{mle}$ as discussed previously. Thus, if CEF is wrongly specified, using sandwich standard error can provide a correct estimate of asymptotic variance, but $\hat{\beta}_{mle}$ is still inconsistent.

1.2.7 Estimated Covariance Matrix of $\hat{\beta}_{mle}$

$$\sqrt{N}(\hat{\beta}_{mle} - \beta_0) \rightarrow_d N(\mathbf{0}, \{\mathbb{E}[\frac{F'(\mathbf{x}'_i \beta_0)^2}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} \mathbf{x}_i \mathbf{x}'_i]\}^{-1}) \iff \hat{\beta}_{mle} \sim_a N(\beta_0, \{\mathbb{E}[\frac{F'(\mathbf{x}'_i \beta_0)^2}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} \mathbf{x}_i \mathbf{x}'_i]\}^{-1}/N)$$

By replacing $\mathbb{E}(\cdot)$ and β_0 , the estimated covariance matrix of $\hat{\beta}_{mle}$ is

$$\{N^{-1} \sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\beta}_{mle})^2}{F(\mathbf{x}'_i \hat{\beta}_{mle})(1 - F(\mathbf{x}'_i \hat{\beta}_{mle}))} \mathbf{x}_i \mathbf{x}'_i\}^{-1}/N = \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\beta}_{mle})^2}{F(\mathbf{x}'_i \hat{\beta}_{mle})(1 - F(\mathbf{x}'_i \hat{\beta}_{mle}))} \mathbf{x}_i \mathbf{x}'_i\}^{-1}$$

Some textbooks e.g., Agresti (2012, p.193), Cameron and Trivedi (2005, p.469), and Maddala (1983, p.25-26) define Information Matrix $\mathbf{I}(\beta_0) := -\mathbb{E}[\frac{\partial^2 \ln L_N(\beta)}{\partial \beta \partial \beta'} \Big| \beta_0]$ (note that it is $\ln L_N$, not $\ln f$ we defined previously) and state $\hat{\beta}_{mle} \sim_a N(\beta_0, \{-\mathbb{E}[\frac{\partial^2 \ln L_N(\beta)}{\partial \beta \partial \beta'} \Big| \beta_0]\}^{-1}) = N(\beta_0, \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \beta_0)^2}{F(\mathbf{x}'_i \beta_0)(1 - F(\mathbf{x}'_i \beta_0))} \mathbf{x}_i \mathbf{x}'_i\}^{-1})$ if $\mathbf{x}_i$ is non-stochastic and thus the estimated covariance matrix of $\hat{\beta}_{mle}$ is to replace β_0 by $\hat{\beta}_{mle}$. While the formula of the estimated covariance matrix of $\hat{\beta}_{mle}$ is the same, there is a subtle difference in the derivation between theirs and the approach here. I follow the approach of Newey and McFadden (1994), Wooldridge (2010), and DasGupta (2008, p.243-244 for general MLE problem).

1.2.8 t-test of $\hat{\beta}_{mle}$

Under zero hypothesis $\beta_j = 0$,

$$t^* := \frac{\hat{\beta}_{j,mle}}{\sqrt{\left[\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\beta}_{mle})^2}{F(\mathbf{x}'_i \hat{\beta}_{mle})(1-F(\mathbf{x}'_i \hat{\beta}_{mle}))} \mathbf{x}_i \mathbf{x}'_i\right]^{-1}}_{j,j}} \sim_a N(0, 1)$$

1.2.9 Quasi Maximum Likelihood Estimation

If the density function in the likelihood function is misspecified, the resulting MLE or QMLE converges in probability to $\theta^* = \operatorname{argmin}_{\theta} KLIC(f, g; \theta) = \operatorname{argmax}_{\theta} \mathbb{E}_g[\ln L(\theta)]$. Such θ^* may or may not be equal to the true population parameter θ_0 (White, 1982). In the case of binary outcome model, y_i must be Bernoulli distributed. However, its parameter $p_i = F(\mathbf{x}'_i \beta)$ can be misspecified and thus the resulting MLE may not converge to the parameter of interest β_0 .

Ruud (1983) shows that if $\mathbb{E}_g[x_j|z]$ is a linear function of $z = \alpha + \mathbf{x}'\beta$ for $\forall j \in \{2, \dots, p\}$ (e.g., if $\mathbf{x}$ follows multivariate normal), we have $\beta^* = scalar \cdot \beta_0$. Therefore, the QMLE converges in probability to a scaled true population parameter.

Interestingly, if the binary outcome model has only one independent variable $x \sim N(\mu_0, \sigma^2)$ if $y = 0$ and $x \sim N(\mu_1, \sigma^2)$ if $y = 1$, then $F(\cdot)$ must be Logistic function (Agresti, 2012 p.169). Let $p = Pr(y = 1)$ and f_1 be the density of x given $y = 1$. By Bayes' Theorem,

$$\begin{aligned} Pr(y = 1|x) &= \frac{f_1 \cdot p}{f_1 \cdot p + f_0 \cdot (1-p)} = \left(\frac{f_1 \cdot p + f_0 \cdot (1-p)}{f_1 \cdot p}\right)^{-1} = \left(1 + \frac{(1-p) \cdot f_0}{p \cdot f_1}\right)^{-1} = \frac{1}{1 + \exp\left(-\underbrace{\left[\frac{\mu_1 - \mu_0}{\sigma^2} x\right]}_{\beta} + \underbrace{\left[\frac{\mu_0^2 - \mu_1^2}{2\sigma^2} - \ln \frac{1-p}{p}\right]}_{\alpha}\right)} \\ \frac{(1-p) f_0}{p f_1} &= \exp\left(\ln \frac{1-p}{p}\right) \frac{\exp\left(-\frac{1}{2}\left(\frac{x-\mu_0}{\sigma}\right)^2\right)}{\exp\left(-\frac{1}{2}\left(\frac{x-\mu_1}{\sigma}\right)^2\right)} \\ &= \exp\left(\ln \frac{1-p}{p}\right) \exp\left(-\frac{1}{2\sigma^2}(x^2 - 2x\mu_0 + \mu_0^2 - x^2 + 2x\mu_1 - \mu_1^2)\right) \\ &= \exp\left(\ln \frac{1-p}{p}\right) \exp\left(-\frac{1}{2\sigma^2}(-2x(\mu_0 - \mu_1) + \mu_0^2 - \mu_1^2)\right) \\ &= \exp\left(\frac{\mu_0 - \mu_1}{\sigma^2} x - \frac{\mu_0^2 - \mu_1^2}{2\sigma^2} + \ln \frac{1-p}{p}\right) \end{aligned}$$

1.3 Iteratively Weighted Non-linear Least Squares

1.3.1 Loss Function

$$\sum_{i=1}^N w_i (y_i - F(\mathbf{x}'_i \beta))^2$$

1.3.2 First Order Condition

$$\begin{aligned} \frac{\partial \sum_{i=1}^N w_i (y_i - F(\mathbf{x}'_i \beta))^2}{\partial \beta} \Big|_{\hat{\beta}_{wnls}} &= \mathbf{0} \\ \sum_{i=1}^N w_i \frac{\partial (y_i - F(\mathbf{x}'_i \beta))^2}{\partial \beta} \Big|_{\hat{\beta}_{wnls}} &= \mathbf{0} \\ -2 \sum_{i=1}^N w_i (y_i - F(\mathbf{x}'_i \hat{\beta}_{wnls})) \frac{\partial F(\mathbf{x}'_i \beta)}{\partial \beta} \Big|_{\hat{\beta}_{wnls}} &= \mathbf{0} \\ \sum_{i=1}^N w_i F'(\mathbf{x}'_i \hat{\beta}_{wnls}) [y_i - F(\mathbf{x}'_i \hat{\beta}_{wnls})] \mathbf{x}_i &= \mathbf{0} \end{aligned}$$

If w_i is the inverse of conditional variance of y_i i.e., $\frac{1}{F(\mathbf{x}'_i\hat{\beta})[1-F(\mathbf{x}'_i\hat{\beta})]}$, WNLS and ML estimation have the same FOC, except $\hat{\beta}$ in WNLS's weight is from NLS or last step while that in MLE is still $\hat{\beta}_{mle}$.

1.3.3 Algorithm

For $t = 1 \dots$

Calculate the weight w_i^t with $\hat{\beta}_{wnls}^{t-1}$ from last step or $\hat{\beta}_{nls}^0$ from NLS if $t = 1$.

Get $\hat{\beta}_{wnls}^t = \arg \min_{\beta} \sum_{i=1}^N w_i^t (y_i - F(\mathbf{x}'_i\beta))^2 = \arg \min_{\beta} \sum_{i=1}^N (\sqrt{w_i^t} y_i - \sqrt{w_i^t} F(\mathbf{x}'_i\beta))^2$ with appropriate algorithm for NLS e.g., Gauss-Newton method (see Appendix C for the details).

Repeat above two steps until convergence of $\hat{\beta}_{wnls}^t$, which will be equal to $\hat{\beta}_{mle}$.

ML and NLS estimator are special cases of M estimator, which is a special case of extremum estimator (Amemiya, 1985). Therefore, under regularity conditions of extremum estimator, NLS estimator is consistent and asymptotic normal. However, it is inefficient. WNLS with an inverse conditional variance weight is efficient. Thus, it is not necessary to apply IWNLS.

The following R code shows that IWNLS estimates of Logit model (F is logistic function) converges to MLE.

```
binary_model_iwnls <- function (formula_, start_, data_, iter_ = 1000, tol_ = 1e-5) {
  b <- list()
  for (i in seq_len(iter_)) {
    if (i == 1) {
      m <-
        nls(
          as.formula(formula_),
          data = data_,
          start = start_
        )
    } else {
      m <-
        nls(
          as.formula(formula_),
          data = data_,
          start = start_,
          weights = w
        )
    }
    b[[i]] <- summary(m)$coefficients[,1]
    if (i > 1 && all(abs(b[[i]] - b[[i - 1]]) < tol_)) {
      return(list(model = m, number_of_iter = i))
    }
    p_hat <- predict(m, type = "response")
    w <- 1 / (p_hat * (1 - p_hat))
  }
  warning("not converge")
  return(list(model = m, number_of_iter = i))
}

logit_model_iwnls <-
  binary_model_iwnls(
    "y ~ 1 / (1 + exp(- b0 - b1 * x1 - b2 * x2))",
    start_ = list(b0 = 0.5, b1 = 0.5, b2 = 0.2),
    data_ = d
  )
```

```

) [["model"]]
summary(logit_model_iwnls)

# check equivalence
# maximum likelihood estimation of logit model with newton method = iterative re-weighted least squares
summary(glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d))

```

1.4 GMM Estimation

1.4.1 Unconditional Moments

Set $w_i = \frac{1}{F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))}$,

$$\mathbb{E}\left[\frac{\partial w_i(y_i - F(\mathbf{x}'_i\beta))}{\partial \beta} \middle| \beta_0\right] = \mathbf{0}$$

$$\mathbb{E}\left[\underbrace{w_i F'(\mathbf{x}'_i\beta_0)(y_i - F(\mathbf{x}'_i\beta_0))\mathbf{x}_i}_{g(y_i, \mathbf{x}_i; \beta_0) = \mathbf{g}_i}\right] = \mathbf{0}$$

It is just-identified because the number of moments i.e., $\dim(\mathbf{x}_i) = \dim(\beta_0)$ i.e., the number of parameters. GMM reduced to MM estimation.

1.4.2 Asymptotic Distribution

$$\sqrt{N}(\hat{\beta}_{gmm} - \beta_0) \rightarrow_d N(\mathbf{0}, (\mathbf{G}'\mathbf{W}\mathbf{G})^{-1}\mathbf{G}'\mathbf{W}\mathbf{S}\mathbf{W}\mathbf{G}(\mathbf{G}'\mathbf{W}\mathbf{G})^{-1})$$

where $\mathbf{G} = \mathbb{E}\left[\frac{\partial \mathbf{g}(y_i, \mathbf{x}_i; \beta)}{\partial \beta'} \middle| \beta_0\right]$ and $\mathbf{S} = \mathbb{E}[\mathbf{g}(y_i, \mathbf{x}_i; \beta_0)\mathbf{g}(y_i, \mathbf{x}_i; \beta_0)']$. $\mathbf{S}$ has this simple form because y_i is assumed to be independent.

$$\begin{aligned} \mathbf{G} &= \mathbb{E}\left[\frac{\partial \mathbf{g}(y_i, \mathbf{x}_i; \beta)}{\partial \beta'} \middle| \beta_0\right] \\ &= \mathbb{E}\left[\frac{\partial w_i F'(\mathbf{x}'_i\beta)(y_i - F(\mathbf{x}'_i\beta))\mathbf{x}_i}{\partial \beta'} \middle| \beta_0\right] \\ &= \mathbb{E}\left[\frac{\partial \frac{F'(\mathbf{x}'_i\beta)}{F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))}(y_i - F(\mathbf{x}'_i\beta))\mathbf{x}_i}{\partial \beta'} \middle| \beta_0, \mathbf{x}_i\right] \\ &= \mathbb{E}\left[-\frac{(F'(\mathbf{x}'_i\beta_0))^2}{F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))}\mathbf{x}_i\mathbf{x}'_i\right] \end{aligned}$$

$$\begin{aligned} \mathbf{S} &= \mathbb{E}[\mathbf{g}(y_i, \mathbf{x}_i; \beta_0)\mathbf{g}(y_i, \mathbf{x}_i; \beta_0)'] \\ &= \mathbb{E}[w_i F'(\mathbf{x}'_i\beta_0)(y_i - F(\mathbf{x}'_i\beta_0))\mathbf{x}_i(w_i F'(\mathbf{x}'_i\beta_0)(y_i - F(\mathbf{x}'_i\beta_0))\mathbf{x}_i)'] \\ &= \mathbb{E}[(w_i F'(\mathbf{x}'_i\beta_0))^2 \mathbb{E}[(y_i - F(\mathbf{x}'_i\beta_0))^2 | \mathbf{x}_i] \mathbf{x}_i\mathbf{x}'_i] \\ &= \mathbb{E}[(w_i F'(\mathbf{x}'_i\beta_0))^2 \text{Var}(y_i | \mathbf{x}_i) \mathbf{x}_i\mathbf{x}'_i] \\ &= \mathbb{E}\left[\left(\frac{F'(\mathbf{x}'_i\beta_0)}{F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))}\right)^2 F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))\mathbf{x}_i\mathbf{x}'_i\right] \\ &= \mathbb{E}\left[\frac{(F'(\mathbf{x}'_i\beta_0))^2}{F(\mathbf{x}'_i\beta_0)(1-F(\mathbf{x}'_i\beta_0))}\mathbf{x}_i\mathbf{x}'_i\right] = -\mathbf{G} \end{aligned}$$

Because of just-identification, GMM reduces to MM estimation, $\mathbf{G}$ is a square matrix and thus invertible.

$$\begin{aligned}\sqrt{N}(\hat{\beta}_{mm} - \beta_0) &\rightarrow_d N(\mathbf{0}, (\mathbf{G}'\mathbf{W}\mathbf{G})^{-1}\mathbf{G}'\mathbf{W}\mathbf{S}\mathbf{W}\mathbf{G}(\mathbf{G}'\mathbf{W}\mathbf{G})^{-1}) \\ &= N(\mathbf{0}, \mathbf{G}^{-1}\mathbf{W}^{-1}\mathbf{G}'^{-1}\mathbf{G}'\mathbf{W}\mathbf{S}\mathbf{W}\mathbf{G}\mathbf{G}^{-1}\mathbf{W}^{-1}\mathbf{G}'^{-1}) \\ &= N(\mathbf{0}, \mathbf{G}^{-1}\mathbf{S}\mathbf{G}'^{-1}) \\ &= N(\mathbf{0}, [\mathbf{I}(\beta_0)]^{-1})\end{aligned}$$

Because

$$\mathbf{G}^{-1}\mathbf{S}\mathbf{G}'^{-1} = -\mathbf{G}'^{-1} = \{\mathbb{E}[\frac{(F'(x'_i\beta_0))^2}{F(x'_i\beta_0)(1-F(x'_i\beta_0))}x_ix'_i]\}^{-1} = [\mathbf{I}(\beta_0)]^{-1}$$

Thus, GMM/MM and ML estimator has the same asymptotic distribution.

The following R codes shows that GMM estimates of Logit model (F is logistic function) are equal to MLE.

```
library(gmm)

logit_model_gmm <- function (y_, X_, init_par_) {

  if (!is.numeric(y_)) stop("y_ should be a numeric vector")
  if (!is.matrix(X_)) stop("X_ should be a matrix")
  if (!is.numeric(init_par_)) stop("init_par_ should be a numeric vector")
  if (length(init_par_) != ncol(X_) + 1) stop("wrong init_par_")

  x <- cbind(y_, X_)
  g <- function (theta, x) {
    y <- x[,1]
    X <- cbind(1, x[, -1])
    b <- theta[1:ncol(X)]
    p <- as.numeric(1 / (1 + exp(- X %*% b)))

    # the first derivative of logistic function is F(1 - F)
    # this leads to simplification i.e., cancel out the weight 1 / F(1 - F)
    (y - p) * X
  }

  # binary model is just-identified, thus G is a square matrix,
  # if G is invertible, and W is chosen to be invertible e.g., I or S^-1,
  # the FOC of GMM reduces to FOC of MM i.e.,
  # G(theta_hat)' W g(theta_hat) = 0 <=> g(theta_hat) = 0
  # therefore, default two-step with optimal weight matrix (W = S^-1 from first step)
  # and one-step with identity matrix (W = I) have the same FOC g(theta_hat) = 0
  # and thus yield the same estimates
  # note g is the sample average of g_i defined in note
  gmm(g = g, x = x, t0 = init_par_, wmatrix = "ident")
}

y <- d[["y"]]
X <- as.matrix(d[c("x1", "x2")])
summary(logit_model_gmm(y, X, c(0.5, 0.5, 0.2)))

# vs mle, same coefficient estimates
summary(glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d))
```


1.5 Special Case: Logit Model

If $F(\cdot) = \Lambda(\cdot)$ i.e., Logistic function (the c.d.f. of standard Logistic random variable),

$$p_i := Pr(y_i = 1 | \mathbf{x}_i) = \Lambda(\mathbf{x}'_i \boldsymbol{\beta}) = \frac{e^{\mathbf{x}'_i \boldsymbol{\beta}}}{1 + e^{\mathbf{x}'_i \boldsymbol{\beta}}} = \frac{1}{1 + e^{-\mathbf{x}'_i \boldsymbol{\beta}}}$$

$$\ln \frac{p_i}{1 - p_i} = \Lambda^{-1}(p_i) = \mathbf{x}'_i \boldsymbol{\beta}$$

$\Lambda^{-1}(\cdot)$ is called Logit function

1.5.1 Marginal Effect

$$\begin{aligned} \Lambda'(z) &= \frac{d(1 + e^{-z})^{-1}}{dz} \\ &= -(1 + e^{-z})^{-2} e^{-z} (-1) \\ &= (1 + e^{-z})^{-1} (1 + e^{-z})^{-1} e^{-z} \\ &= \Lambda(z) \frac{e^{-z}}{1 + e^{-z}} \\ &= \Lambda(z) \frac{1}{1 + e^z} \\ &= \Lambda(z) \frac{1 + e^z - e^z}{1 + e^z} \\ &= \Lambda(z)(1 - \Lambda(z)) \end{aligned}$$

Thus,

$$\Lambda'(\mathbf{x}'_i \boldsymbol{\beta}) \boldsymbol{\beta} = \Lambda(\mathbf{x}'_i \boldsymbol{\beta})(1 - \Lambda(\mathbf{x}'_i \boldsymbol{\beta})) \boldsymbol{\beta} \leq 0.25 \boldsymbol{\beta}$$

Because

$$\begin{aligned} \left. \frac{dz(1 - z)}{dz} \right|_{z^*} &= 1 - 2z^* = 0 \\ z^* &= 1/2 \\ z^*(1 - z^*) &= 1/2 \cdot 1/2 = 1/4 = 0.25 \end{aligned}$$

$\Lambda(\mathbf{x}'_i \boldsymbol{\beta})(1 - \Lambda(\mathbf{x}'_i \boldsymbol{\beta})) = 0.25$ when $\Lambda(\mathbf{x}'_i \boldsymbol{\beta}) = 1/2$ which happens when $\mathbf{x}'_i \boldsymbol{\beta} = 0$ as p.d.f. of standard Logistic random variable is symmetric at 0 (c.d.f. = 0.5 at 0).

1.5.2 Odds Ratio

$$\ln \frac{p_i}{1 - p_i} = \Lambda^{-1}(p_i) = \mathbf{x}'_i \boldsymbol{\beta}$$

If $\mathbf{x}_i$ and $\mathbf{x}_j$ are different in x_k by 1 unit, then

$$\begin{aligned} \mathbf{x}'_i \boldsymbol{\beta} - \mathbf{x}'_j \boldsymbol{\beta} &= \ln \frac{p_i}{1 - p_i} - \ln \frac{p_j}{1 - p_j} \\ \mathbf{x}'_j \boldsymbol{\beta} + 1 \cdot \beta_k - \mathbf{x}'_j \boldsymbol{\beta} &= \beta_k = \ln \frac{p_i/(1 - p_i)}{p_j/(1 - p_j)} \\ \exp(\beta_k) &= \frac{p_i/(1 - p_i)}{p_j/(1 - p_j)} := OR \end{aligned}$$

Odds Ratio (OR) can be interpreted as

$$\begin{aligned}\frac{p_j}{1-p_j} &= \exp(\mathbf{x}'_j \boldsymbol{\beta}) \\ \exp(\mathbf{x}'_i \boldsymbol{\beta}) &= \exp(\mathbf{x}'_j \boldsymbol{\beta} + 1 \cdot \beta_k) = \exp(\mathbf{x}'_j \boldsymbol{\beta}) \exp(\beta_k) \\ &= \frac{p_j}{1-p_j} \exp(\beta_k)\end{aligned}$$

So, an unit increase in x_k means the odds $\frac{p_j}{1-p_j}$ is multiplied by the Odds Ratio (OR) $\exp(\beta_k)$.

1.5.3 First Order Condition

$$\begin{aligned}\sum_{i=1}^N \frac{y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}{\Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \Lambda'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) \mathbf{x}_i &= \mathbf{0} \\ \sum_{i=1}^N \frac{y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}{\Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})) \mathbf{x}_i &= \mathbf{0} \\ \sum_{i=1}^N (y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})) \mathbf{x}_i &= \mathbf{0} \\ \sum_{i=1}^N (y_i - \mathbb{E}(y_i | \mathbf{x}_i)) \mathbf{x}_i &= \mathbf{0}\end{aligned}$$

This is similar to the first order condition of OLS estimation of linear model. Moreover, if intercept is included in $\mathbf{x}_i$.

$$\begin{aligned}\sum_{i=1}^N (y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}})) \cdot 1 &= 0 && \text{"residual" sum to 0} \\ N^{-1} \sum_{i=1}^N \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) &= \bar{y}\end{aligned}$$

Interesting result, $\bar{y}$ is the percentage of one in the sample, which is equal to the average predicted probability of Logit Model.

1.6 Special Case: Skewed Logit Model

$$p_i := \Pr(y_i = 1 | \mathbf{x}_i) = 1 - [1 + \exp(\mathbf{x}'_i \boldsymbol{\beta})]^{-\alpha}$$

It reduces to Logit model if $\alpha = 1$. The extra parameter α is estimated simultaneously with $\boldsymbol{\beta}$.

```
skew_logit <- function (
  y_,
  X_,
  init_par_,
  intercept_ = TRUE,
  method_ = "BFGS"
) {

  if (!is.numeric(y_)) stop("y_ should be a numeric vector")
  if (!is.matrix(X_)) stop("X_ should be a matrix")
  if (intercept_) X_ <- cbind(1, X_)
  if (!is.numeric(init_par_)) stop("init_par_ should be a numeric vector")

  negative_lnl <- function (par, y, X) {
    beta <- par[1:ncol(X)]
    alpha <- par[ncol(X) + 1]
```

```

cdf <- 1 - (1 + exp(X %*% beta))^(alpha)
-sum(y * log(cdf) + (1 - y) * log(1 - cdf))
}

optim(
  par = init_par_,
  fn = negative_lnL,
  y = y_, X = X_,
  method = method_,
  hessian = TRUE
)
}

```

1.7 Generalized Logit Model (Stukel, 1988)

$$Pr(y_i = 1|x_i) = \frac{1}{1 + e^{-h_{\alpha}(x'_i\beta)}} = \Lambda(h_{\alpha}(x'_i\beta))$$

where $h_{\alpha}(\cdot)$ is a strictly increasing non-linear function.

1.8 Special Case: Probit Model

If $F(\cdot) = \Phi(\cdot)$ i.e., the c.d.f. of standard Normal random variable,

$$p_i := Pr(y_i = 1|x_i) = \Phi(x'_i\beta) = \int_{-\infty}^{x'_i\beta} \phi(z)dz$$

$$\Phi^{-1}(p_i) = x'_i\beta$$

$\Phi^{-1}(\cdot)$ is called Probit function, no closed form

1.8.1 Marginal Effect

$$\begin{aligned}\Phi'(z) &= \frac{d \int_{-\infty}^z \phi(a)da}{dz} \\ &= \phi(z) \\ &= \frac{1}{\sqrt{2\pi}} \exp(-\frac{1}{2}z^2)\end{aligned}$$

by First Fundamental Theorem of Calculus

$$\begin{aligned}\Phi'(x'_i\beta)\beta &= \frac{1}{\sqrt{2\pi}} \exp(-\frac{1}{2}(x'_i\beta)^2)\beta \\ &\leq \frac{1}{\sqrt{2\pi}} \cdot 1 \cdot \beta \approx 0.4\beta\end{aligned}$$

as $0 < \exp(z) \leq 1$ if $z \leq 0$

If there is only one independent variable, the marginal effect of Probit and Logit model is both maximized at $x = -\alpha/\beta$. If both models have similar marginal effects at this point, we have $0.25\beta_{logit} \approx 0.4\beta_{probit}$. Thus, a rule of thumb is $\beta_{logit} \approx 1.6\beta_{probit}$.

1.8.2 First Order Condition

$$\sum_{i=1}^N \underbrace{\left\{ \frac{\Phi'(x'_i\hat{\beta})}{\Phi(x'_i\hat{\beta})(1 - \Phi(x'_i\hat{\beta}))} \right\}}_{\hat{w}_i} [y_i - \Phi(x'_i\hat{\beta})] x_i = \mathbf{0}$$

One line of code to run probit model in R.

```
summary(glm(y ~ x1 + x2, family = binomial(link = "probit"), data = d))
```

1.9 Special Case: Heteroskedastic Probit Model (Harvey, 1976)

If $F_i(\cdot) = \Phi_{\sigma_i}(\cdot)$ i.e., the c.d.f. of $N(0, \sigma_i^2)$ random variable,

$$p_i := Pr(y_i = 1 | \mathbf{x}_i) = \Phi_{\sigma_i}(\mathbf{x}_i' \boldsymbol{\beta}) = \Phi(\mathbf{x}_i' \boldsymbol{\beta} / \sigma_i) = \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \sigma_i} \phi(z) dz$$

It is easy to verify the third equality with change of variable,

$$\begin{aligned} \Phi_{\sigma_i}(\mathbf{x}_i' \boldsymbol{\beta}) &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta}} \frac{1}{\sigma_i} \phi(z / \sigma_i) dz \\ &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \sigma_i} \frac{1}{\sigma_i} \phi(z^*) \frac{dz}{dz^*} dz^* & z^* = z / \sigma_i \\ &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \sigma_i} \phi(z^*) dz^* = \Phi(\mathbf{x}_i' \boldsymbol{\beta} / \sigma_i) \end{aligned}$$

Set $\sigma_i = \exp(\mathbf{z}_i' \boldsymbol{\gamma})$ where $\boldsymbol{\gamma}$ does not have an intercept.

$$Pr(y_i = 1 | \mathbf{x}_i, \mathbf{z}_i) = \Phi(\mathbf{x}_i' \boldsymbol{\beta} / \exp(\mathbf{z}_i' \boldsymbol{\gamma}))$$

It is about the heteroskedasticity of latent variable y_i^* or its error u_i (see Section 2), instead of observed binary y_i (although it is also heteroskedastic, see Linear Probability Model below).

```
hetero_probit <- function (
  y_,
  X_,
  Z_,
  init_par_,
  intercept_ = TRUE,
  method_ = "BFGS"
) {

  if (!is.numeric(y_)) stop("y_ should be a numeric vector")
  if (!is.matrix(X_)) stop("X_ should be a matrix")
  if (!is.matrix(Z_)) stop("Z_ should be a matrix")
  if (intercept_) X_ <- cbind(1, X_)
  if (!is.numeric(init_par_)) stop("init_par_ should be a numeric vector")

  negative_lnL <- function (par, y, X, Z) {
    beta <- par[1:ncol(X)]
    gamma <- par[(ncol(X) + 1):(ncol(X) + ncol(Z))]
    cdf <- pnorm(X %*% beta, sd = exp(Z %*% gamma), lower.tail = TRUE, log.p = FALSE)
    -sum(y * log(cdf) + (1 - y) * log(1 - cdf))
  }

  optim(
    par = init_par_,
    fn = negative_lnL,
    y = y_, X = X_, Z = Z_,
    method = method_,
    hessian = TRUE
  )
}
```

1.10 Special Case: Robit Model (Liu, 2004)

If $F(\cdot) = F_{t,\nu,\tau}(\cdot)$ i.e., the c.d.f. of scaled t random variable (location parameter = 0, free scale parameter τ),

$$p_i := Pr(y_i = 1 | \mathbf{x}_i) = F_{t,\nu,\tau}(\mathbf{x}_i' \boldsymbol{\beta}) = F_{t,\nu}(\mathbf{x}_i' \boldsymbol{\beta} / \tau) = \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \tau} t_\nu(z) dz$$

It is easy to verify the third equality with change of variable,

$$\begin{aligned} F_{t,\nu,\tau}(\mathbf{x}_i' \boldsymbol{\beta}) &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta}} t_{\nu,\tau}(z) dz \\ &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta}} t_\nu(z/\tau) \frac{1}{\tau} dz && \text{by definition of } t_\nu(\cdot) \\ &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \tau} t_\nu(z^*) \frac{1}{\tau} \frac{dz}{dz^*} dz^* && z^* = z/\tau \\ &= \int_{-\infty}^{\mathbf{x}_i' \boldsymbol{\beta} / \tau} t_\nu(z^*) dz^* = F_{t,\nu}(\mathbf{x}_i' \boldsymbol{\beta} / \tau) \end{aligned}$$

$$F_{t,\nu,\tau}^{-1}(p_i) = \mathbf{x}_i' \boldsymbol{\beta}$$

$F_{t,\nu,\tau}^{-1}(\cdot)$ is called Robit function, no closed form

If $\tau = \sqrt{\frac{\nu-2}{\nu}}$, the variance of the scaled t random variable is 1. If this is the case, we estimate $\boldsymbol{\beta}$ and degree of freedom ν simultaneously and then find out τ by the equation. τ and ν can also be specified directly e.g., if $\tau = 1.5484$ and $\nu = 7$, $F_{t,\nu,\tau}(\cdot)$ is close to Logistic function (Liu, 2004), and thus Robit model is close to Logit model in such case.

As standard t random variable (location parameter = 0, scale parameter $\tau = 1$) converges to standard normal random variable when the degree of freedom $\nu \rightarrow \infty$, Robit model is also a generalization of Probit model. Except some special cases, $F_{t,\nu,\tau}(\cdot)$ does not have a closed form.

Scaled and standard t random variable is not in the family of log-concave distribution and thus its cdf is not log-concave. Therefore, $-\frac{\partial^2 \ln L(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'}$ may not be positive definite and thus is not invertible. Newton's method may fail.

The below R code shows the ML estimation of Robit model.

```
set.seed(123)

n <- 5000
x1 <- rnorm(n)
x2 <- rnorm(n)
y <- as.numeric(0.5 + 0.5*x1 + 0.2*x2 + rt(n, df = 4) > 0)
d <- data.frame(y = y, x1 = x1, x2 = x2)

# robit in r
robit_mle <- function (
  y_,
  X_,
  init_par_,
  df_ = NULL,
  tau_ = 1,
  set_variance_one_ = FALSE,
  intercept_ = TRUE,
  method_ = "BFGS"
```

```

) {

  if (!is.numeric(y_)) stop("y_ should be a numeric vector")
  if (!is.matrix(X_)) stop("X_ should be a matrix")
  if (intercept_) X_ <- cbind(1, X_)
  if (!is.numeric(init_par_)) stop("init_par_ should be a numeric vector")
  if (is.null(df_) && (length(init_par_) != ncol(X_) + 1)) stop("wrong init_par_")
  if (!is.null(df_) && (length(init_par_) != ncol(X_))) stop("wrong init_par_")
  if (!is.numeric(tau_)) stop("tau_ should be a number")

  negative_lnL <- function (par, y, X) {
    beta <- par[1:ncol(X)]

    if (is.null(df_)) {
      df <- par[ncol(X) + 1]
    } else if (!is.na(df_) && is.numeric(df_) && df_ > 0) {
      df <- df_
    } else {
      stop("df_ should be positive real number")
    }

    if (!set_variance_one_) {
      t_cdf <- pt(X %*% beta / tau_, df = df, lower.tail = TRUE, log.p = FALSE)
    } else {
      t_cdf <- pt(X %*% beta / sqrt((df - 2) / df), df = df, lower.tail = TRUE, log.p = FALSE)
    }

    -sum(y * log(t_cdf) + (1 - y) * log(1 - t_cdf))
  }

  optim(
    par = init_par_,
    fn = negative_lnL,
    y = y_, X = X_,
    method = method_,
    hessian = TRUE
  )
}

y <- d[["y"]]
X <- as.matrix(d[c("x1", "x2")])

# set tau = 1, estimate beta and df (i.e., nu) simultaneously
robit_mle(y, X, c(0.5, 0.5, 0.2, 4))

# set tau = ((df - 2) / df)^(1 / 2), estimate beta and df simultaneously
robit_mle(y, X, c(0.5, 0.5, 0.2, 4), set_variance_one_ = TRUE)

# set tau = 1.5484 and df = 7, robit model approximates to logit model,
robit_mle(y, X, c(0.5, 0.5, 0.2), tau_ = 1.5484, df_ = 7)

# check equivalence
summary(glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d))

```

```
# set tau = 1 and df = very large number, robit model converges to probit model
robit_mle(y, X, c(0.5, 0.5, 0.2), df_ = 99999)

# check equivalence
summary(glm(y ~ x1 + x2, family = binomial(link = "probit"), data = d))
```

1.11 Special Case: Log-log Link Model or Gumbel Model

If $F(\cdot)$ is the c.d.f. of standard type 1 Extreme Value distribution (standard log-Weibull distribution or standard Gumbel distribution),

$$p_i := Pr(y_i = 1 | \mathbf{x}_i) = \exp(-\exp(-\mathbf{x}_i' \boldsymbol{\beta}))$$

$$-\ln(-\ln(p_i)) = \mathbf{x}_i' \boldsymbol{\beta}$$

Unlike Logit and Probit model, the response curve $Pr(y = 1 | \mathbf{x})$ of Log-log link model is not symmetric at $p_i = 0.5$.

1.12 Special Case: Linear Probability Model (LPM)

If $F(\cdot)$ is an identity function,

$$p_i := Pr(y_i = 1 | \mathbf{x}_i) = \mathbf{x}_i' \boldsymbol{\beta}$$

However, it is not likely that $F(\cdot)$ is an identity function because the resulting predicted probability can be larger than 1 or smaller than 0. MLE's first order condition is

$$\sum_{i=1}^N \left\{ \frac{1}{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})} \right\} [y_i - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle}] \mathbf{x}_i = \mathbf{0}$$

There is default heteroskedasticity problem. As shown before, $Var(y_i | \mathbf{x}_i) = p_i(1 - p_i) = \mathbf{x}_i' \boldsymbol{\beta} (1 - \mathbf{x}_i' \boldsymbol{\beta})$ which depend on i . Heteroskedasticity can be solved by using GLS estimation i.e., WLS estimation with an inverse conditional variance weight. First, use $\hat{\boldsymbol{\beta}}_{ols}$ to get the weight $[\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})]^{-1}$ for $\forall i$. Second, get

$$\begin{aligned} \hat{\boldsymbol{\beta}}_{wls} &= \underset{\boldsymbol{\beta}}{\operatorname{argmin}} \sum_{i=1}^N \left\{ \frac{1}{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})} \right\} [y_i - \mathbf{x}_i' \boldsymbol{\beta}]^2 \\ &= \underset{\boldsymbol{\beta}}{\operatorname{argmin}} \sum_{i=1}^N \left\{ \frac{1}{\sqrt{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})}} \right\}^2 [y_i - \mathbf{x}_i' \boldsymbol{\beta}]^2 \\ &= \underset{\boldsymbol{\beta}}{\operatorname{argmin}} \sum_{i=1}^N \left[\frac{y_i}{\sqrt{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})}} - \frac{\mathbf{x}_i'}{\sqrt{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})}} \boldsymbol{\beta} \right]^2 \\ &= \underset{\boldsymbol{\beta}}{\operatorname{argmin}} \sum_{i=1}^N [\tilde{y}_i - \tilde{\mathbf{x}}_i' \boldsymbol{\beta}]^2 \end{aligned}$$

Therefore, $\hat{\boldsymbol{\beta}}_{wls} = (\sum_{i=1}^N \tilde{\mathbf{x}}_i \tilde{\mathbf{x}}_i')^{-1} \sum_{i=1}^N \tilde{\mathbf{x}}_i \tilde{y}_i$. Its first order condition is

$$\sum_{i=1}^N \left\{ \frac{1}{\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols} (1 - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{ols})} \right\} [y_i - \mathbf{x}_i' \hat{\boldsymbol{\beta}}_{wls}] \mathbf{x}_i = \mathbf{0}$$

If $\hat{\boldsymbol{\beta}}_{wls}$ is then used in estimating the weight and loop the above process until convergence, the resulting IWLS estimate is equal to ML estimate. It is a special case of IWLS = ML estimation derived in the previous section for general model. $\mathbf{x}_i' \hat{\boldsymbol{\beta}} \rightarrow 0$ or $\rightarrow 1$, $\hat{w}_i$ is large and lead to numerical instability during optimization.

If $F(\cdot)$ is truly an identity function, OLS estimator is still unbiased and consistent. The default heteroskedasticity can be tackled by using robust standard error e.g., Eicker-Huber-White standard error (White, 1980). However, it is still inefficient. Angrist and Pischke (2009, p.93) provides some reasons why they prefer OLS with robust standard error to WLS estimation e.g., the efficiency gain from WLS may not be realized if $F(\cdot)$ is not truly an identity function and the variance estimate can be noisy.

```
library(lmtest)
library(sandwich)

lpm <- lm(y ~ ., data = d)

# HCO = White's estimator
# it is robust because of heteroskedasticity consistency
# however, it is biased when there is homoskedasticity
# HC2 adjustment is unbiased under homoskedasticity but biased under heteroskedasticity
# for binary y, there is default heteroskedasticity and thus HC2 is not used here
coefTest(lpm, vcov = vcovHC(lpm, type = "HCO"))
```

Some scholars e.g., Angrist (2001, Section 2.1), Angrist and Pischke (2009) advocate using LPM e.g., if your target is to estimate Average Treatment Effect (ATE) and you have only one indicator regressor, the OLS slope estimate is estimated ATE under independent assumption, which can be justified by random assignment. This result holds no matter Y is binary, discrete or continuous. $\beta = \frac{Cov(Y,D)}{Var(D)} = E(Y|D=1) - E(Y|D=0)$, second equality uses double expectation to derive.

$$\begin{aligned} E(Y|D=1) - E(Y|D=0) &= E(Y_1|D=1) - E(Y_0|D=0) \\ &= E(Y_1) - E(Y_0) && Y_1, Y_0 \perp D \text{ under random assignment} \\ &= E(Y_1 - Y_0) = ATE \end{aligned}$$

Another way to derive this fact is that when there is only one indicator regressor, the CEF must be linear $E(Y|D) = E(Y|D=0) + [E(Y|D=1) - E(Y|D=0)]D$.

When there are covariates X with the indicator, Angrist and Pischke (2009, p.102-103) admit that CEF $E(Y|X, D)$ is almost certainly non-linear and thus linear regression is very likely a wrong specification of CEF. However, linear regression still provides the best linear approximation of CEF. Because CEF has causal interpretation, its MMSE approximation should also have causal interpretation. Imbens and Rubin (2015) formalize this in a theorem (7.1i) saying that the indicator coefficient of a linear model with covariates identifies ATE under random assignment and random sampling. Proof:

$$\begin{aligned} Q(\alpha, \beta, \theta) &:= E[(Y_i - \alpha - \beta D_i - \mathbf{x}_i' \theta)^2] \\ &= E[(Y_i - \alpha - E[\mathbf{x}_i]' \theta - \beta D_i - \mathbf{x}_i' \theta + E[\mathbf{x}_i]' \theta)^2] \\ &= E[(Y_i - (\alpha + E[\mathbf{x}_i]' \theta) - \beta D_i - (\mathbf{x}_i - E[\mathbf{x}_i])' \theta)^2] \\ &= E[(Y_i - \tilde{\alpha} - \beta D_i - (\mathbf{x}_i - E[\mathbf{x}_i])' \theta)^2] \\ &= E[(Y_i - \tilde{\alpha} - \beta D_i)^2] - E[(\mathbf{x}_i - E[\mathbf{x}_i])' \theta]^2 - 2E[(Y_i - \tilde{\alpha} - \beta D_i)((\mathbf{x}_i - E[\mathbf{x}_i])' \theta)] \\ &= E[(Y_i - \tilde{\alpha} - \beta D_i)^2] - E[(\mathbf{x}_i - E[\mathbf{x}_i])' \theta]^2 - 2E[Y_i(\mathbf{x}_i - E[\mathbf{x}_i])' \theta] \end{aligned} \quad \text{see below}$$

Thus, $\frac{\partial Q}{\partial \beta} |_{\beta^*} = \frac{\partial E[(Y_i - \tilde{\alpha} - \beta D_i)^2]}{\partial \beta} |_{\beta^*} = 0$ reduces to the case without covariates. Therefore, as shown before, $\beta^* = ATE$.

$$E[\tilde{\alpha}((\mathbf{x}_i - E[\mathbf{x}_i])' \theta)] = \tilde{\alpha}(E[\mathbf{x}_i] - E[\mathbf{x}_i])' \theta = 0$$

$$E[\beta D_i((\mathbf{x}_i - E[\mathbf{x}_i])' \theta)] = \beta E[D_i(\mathbf{x}_i - E[\mathbf{x}_i])' \theta] = \beta(E[D_i \mathbf{x}_i'] - E[D_i E[\mathbf{x}_i']]) \theta = \beta(E[D_i \mathbf{x}_i'] - E[D_i] E[\mathbf{x}_i']) \theta = 0$$

The last equality is due to the independence of D_i and $\mathbf{x}_i \implies \mathbb{E}[D_i \mathbf{x}'_i] = \mathbb{E}[D_i] \mathbb{E}[\mathbf{x}_i]'$ given random assignment in large sample. It may not hold in small sample. The theorem holds no matter Y is binary or not. Moreover, it holds no matter the CEF $\mathbb{E}(Y|X, D)$ is linear or non-linear. In traditional Econometrics and Statistics, we always want to specify a correct model (but we can't and know that "all models are wrong, but some are useful"). However, if our target is simply causal effect, we can specify a wrong model regardless the true CEF.

Average derivatives (Stoker, 1986) provide the average marginal effect without specifying $F(\cdot)$. Define $\mathbb{E}[y|\mathbf{x}] = m(\mathbf{x})$,

$$\begin{aligned} AME &:= \mathbb{E}\left[\frac{\partial m(\mathbf{x})}{\partial \mathbf{x}}\right] = -\mathbb{E}\left[m(\mathbf{x}) \frac{\partial \ln(f(\mathbf{x}))}{\partial \mathbf{x}}\right] && \text{by generalized Information matrix equality} \\ &= -\mathbb{E}\left[\mathbb{E}[y|\mathbf{x}] \frac{f'(\mathbf{x})}{f(\mathbf{x})}\right] \\ &= -\mathbb{E}\left[\mathbb{E}\left[y \frac{f'(\mathbf{x})}{f(\mathbf{x})} \middle| \mathbf{x}\right]\right] \\ &= -\mathbb{E}\left[y \frac{f'(\mathbf{x})}{f(\mathbf{x})}\right] \end{aligned}$$

Thus,

$$\widehat{AME} = -N^{-1} \sum_{i=1}^N y_i \frac{\widehat{f}'(\mathbf{x}_i)}{\widehat{f}(\mathbf{x}_i)}$$

If $\mathbf{x}$ follow multivariate normal,

$$\begin{aligned} AME &= -\mathbb{E}[y \cdot -(\mathbf{x} - \boldsymbol{\mu}_x) \boldsymbol{\Sigma}_x^{-1}] \\ &= \mathbb{E}[y(\mathbf{x} - \boldsymbol{\mu}_x) \{\mathbb{E}[(\mathbf{x} - \boldsymbol{\mu}_x)(\mathbf{x} - \boldsymbol{\mu}_x)']\}^{-1}] \\ &= \{\mathbb{E}[(\mathbf{x} - \boldsymbol{\mu}_x)(\mathbf{x} - \boldsymbol{\mu}_x)']\}^{-1} \mathbb{E}[(\mathbf{x} - \boldsymbol{\mu}_x)y] \end{aligned}$$

Thus, it is an OLS estimator of regressing y on $\mathbf{x} - \boldsymbol{\mu}_x$. This result holds no matter y is binary or not. If your target is AME with multivariate normal $\mathbf{x}$, you can simply regress y on $\mathbf{x} - \boldsymbol{\mu}_x$, the estimated coefficients is estimated AME. Even $\mathbf{x}$ is not multivariate normal, AME can be non-parametrically estimated using $-N^{-1} \sum_{i=1}^N y_i \frac{\widehat{f}'(\mathbf{x}_i)}{\widehat{f}(\mathbf{x}_i)}$.

LPM can also be justified on its analogy with linear discriminant function (not linear discriminant analysis LDA). Set $\widehat{y}_i = 1(\widehat{Pr}(y_i = 1|\mathbf{x}_i) > threshold)$, where $\widehat{Pr}(y_i = 1|\mathbf{x}_i) = \mathbf{x}'_i \widehat{\boldsymbol{\beta}}_{lpm}$. If the threshold is set at $(\bar{\mathbf{x}}'_1 \widehat{\boldsymbol{\beta}}_{lpm} + \bar{\mathbf{x}}'_2 \widehat{\boldsymbol{\beta}}_{lpm})/2$, LPM provides the same prediction with linear discriminant function. Since linear discriminant function does not require any distributional or functional assumption, even the true CEF is non-linear i.e., our specification is wrong, the prediction from LPM is still justified. Linear discriminant function is $\mathbf{x}'_i \widehat{\boldsymbol{\lambda}}$ where $\widehat{\boldsymbol{\lambda}} = arg \max_{\boldsymbol{\lambda}} \frac{\boldsymbol{\lambda}'(\bar{\mathbf{x}}_1 - \bar{\mathbf{x}}_2)^2}{\boldsymbol{\lambda}' \mathbf{S} \boldsymbol{\lambda}}$. This gives $\widehat{\boldsymbol{\lambda}} = \mathbf{S}^{-1}(\bar{\mathbf{x}}_1 - \bar{\mathbf{x}}_2)$. Given new observation $\mathbf{x}_0$, it will be classify as group 1 if $\widehat{\boldsymbol{\lambda}}' \mathbf{x}_0 > \frac{1}{2}(\widehat{\boldsymbol{\lambda}}' \bar{\mathbf{x}}_1 + \widehat{\boldsymbol{\lambda}}' \bar{\mathbf{x}}_2)$. it can be shown $\widehat{\boldsymbol{\beta}}_{lpm} = \widehat{\boldsymbol{\lambda}} \frac{SSErr_{lpm}}{N_1 + N_2 - 2}$ (see Maddala, 1983 for proof). Thus,

$$\begin{aligned} \widehat{y}_i &= 1(\mathbf{x}'_i \widehat{\boldsymbol{\beta}}_{lpm} > (\bar{\mathbf{x}}'_1 \widehat{\boldsymbol{\beta}}_{lpm} + \bar{\mathbf{x}}'_2 \widehat{\boldsymbol{\beta}}_{lpm})/2) \\ &= 1(\mathbf{x}'_i \widehat{\boldsymbol{\lambda}} \frac{SSErr_{lpm}}{N_1 + N_2 - 2} > \frac{1}{2}(\bar{\mathbf{x}}_1 - \bar{\mathbf{x}}_2)' \widehat{\boldsymbol{\lambda}} \frac{SSErr_{lpm}}{N_1 + N_2 - 2}) \\ &= 1(\mathbf{x}'_i \widehat{\boldsymbol{\lambda}} > \frac{1}{2}(\bar{\mathbf{x}}_1 - \bar{\mathbf{x}}_2)' \widehat{\boldsymbol{\lambda}}) \end{aligned}$$

Except the model is saturated, the predicted probabilities given covariates can be negative or larger than one. Therefore, the predictability of LPM is poor.

1.13 Model Evaluation

1.13.1 Accuracy

Accuracy = $N^{-1} \sum_{i=1}^N 1\{\widehat{Pr}(y_i = 1|\mathbf{x}_i) \geq \text{threshold}\} = y_i\}$. The threshold is usually set at 0.5. If the data used to compute the accuracy are the data used to estimate the model, it is called in-sample accuracy. If new data are used, it is called out-of-sample accuracy.

```
logit_model <- glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d)
p_hat <- predict(logit_model, type = "response")

mean(as.numeric(as.numeric(p_hat >= 0.5) == y), na.rm = TRUE)
```

Accuracy measure is easy to understand. However, it can be misleading when the dependent variable in the sample is unbalanced e.g., the overall accuracy is perfect but the sensitivity or specificity (defined below) can be very poor.

1.13.2 Confusion Matrix (Classification Table) and ROC curve

The table partitions the sample into True Positive (TP), True Negative (TN), False Positive (FP), False Negative (FN). Sensitivity := $Pr(\text{Predict is positive}|\text{Actual is positive}) = \frac{Pr(\text{Predict is positive} \cap \text{Actual is positive})}{Pr(\text{Actual is positive})} = \frac{TP}{TP+FN}$. Specificity := $Pr(\text{Predict is negative}|\text{Actual is negative}) = \frac{Pr(\text{Predict is negative} \cap \text{Actual is negative})}{Pr(\text{Actual is negative})} = \frac{TN}{TN+FP}$. We want a model having high sensitivity and specificity. However, sensitivity and specificity must be negatively related.

ROC curve plots sensitivity $\frac{TP}{TP+FN}$ (y-axis) versus (1 - specificity) $\frac{FP}{TN+FP}$ (x-axis). Model increases (1 - specificity) with a larger increase in sensitivity is superior i.e., the closer the curve is to the upper left corner, the better the model's fit. That's why larger area under ROC curve is preferred.

```
library(pROC)

logit_model <- glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d)
p_hat <- predict(logit_model, type = "response")

table(
  actual = y,
  prediction = as.numeric(p_hat >= 0.5)
)

roc(y ~ x1 + x2, data = d, na.rm = TRUE, plot = TRUE)
```

1.13.3 Akaike Information Criterion (AIC)

Claeskens and Hjort (2008) provide a robust Aic formula for generalized linear model.

$$AIC = 2 \cdot \ln[L(\hat{\beta}_{mle})] - 2 \cdot \alpha$$

where $\alpha = \sum_{i=1}^N \mathbb{E}(y_i - \mathbb{E}[y_i|\mathbf{x}_i])\hat{\theta}_i/\hat{\eta}$. Since $\theta_i = \mathbf{x}'_i\boldsymbol{\beta}$ and $\eta = 1$ for Logit model, $\alpha = \sum_{i=1}^N \mathbb{E}(y_i - \overbrace{\mathbb{E}[y_i|\mathbf{x}_i]}^{Pr(y_i=1|\mathbf{x}_i)})\mathbf{x}'_i\hat{\boldsymbol{\beta}}_{mle}$. α can be estimated by bootstrap method.

Estimate the model and get $\widehat{Pr}(y_i = 1|\mathbf{x}_i)$ and $y_i^* = 1(\widehat{Pr}(y_i = 1|\mathbf{x}_i) \geq 0.5)$ for $\forall i$.

For $b = 1$ to B

Draw N random samples with replacement from original dataset. Define index set $\mathbb{I}_b$ where $|\mathbb{I}_b| = N$.

Use bootstrapped dataset $\{y_j^*, \mathbf{x}_j\}_{j \in \mathbb{I}_b}$ to estimate a Logit model and get $\hat{\beta}_{mle}^*$.

Calculate $\hat{\alpha}_b = \sum_j (y_j^* - \widehat{Pr}(y_j = 1 | \mathbf{x}_j)) \mathbf{x}_j' \hat{\beta}_{mle}^*$.

Thus, we have B number of $\hat{\alpha}_b$ for a model. AIC of this model is $2 \cdot \ln[L(\hat{\beta}_{mle})] - 2 \cdot \sum_{b=1}^B \hat{\alpha}_b / B$. The original AIC formula sets α equals to the number of parameter, which is easier to compute. However, it can be less accurate if the true model is not the specified model.

The following R code computes the above algorithm.

```
logit_model <- glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d)

alpha_hat <- list()
p_hat <- predict(logit_model, type = "response")
y_star <- as.numeric(p_hat >= 0.5)
B <- 5000
for (b in seq_len(B)) {
  boot_index <- sample(nrow(d), replace = TRUE)
  boot_y_star <- y_star[boot_index]
  boot_p_hat <- p_hat[boot_index]
  boot_d <- cbind(boot_y_star, d[boot_index, c("x1", "x2")])
  boot_logit_model <-
    glm(
      y ~ x1 + x2,
      family = binomial(link = "logit"),
      data = boot_d
    )
  alpha_hat[[b]] <-
    t(boot_y_star - boot_p_hat) %*%
    as.matrix(cbind(1, boot_d[c("x1", "x2")])) %*%
    as.matrix(boot_logit_model$coefficients)
}

alpha_hat_bar <- mean(as.numeric(alpha_hat), na.rm = TRUE)
as.numeric(boot_aic <- 2 * logLik(logit_model) - 2 * alpha_hat_bar)
```

1.13.4 McFadden's (1974) Pseudo- R^2

$$\begin{aligned}
R_{mcf}^2 &= 1 - \frac{\ln L_{fit}}{\ln L_0} \\
&= 1 - \frac{\sum_{i=1}^N \{y_i \ln \hat{p}_i + (1 - y_i) \ln(1 - \hat{p}_i)\}}{\sum_{i=1}^N \{y_i \ln \bar{y} + (1 - y_i) \ln(1 - \bar{y})\}} \\
&= 1 - \frac{\sum_{i=1}^N \{y_i \ln \hat{p}_i + (1 - y_i) \ln(1 - \hat{p}_i)\}}{(\sum_{i=1}^N y_i) \ln \bar{y} + (N - \sum_{i=1}^N y_i) \ln(1 - \bar{y})} \\
&= 1 - \frac{\sum_{i=1}^N \{y_i \ln \hat{p}_i + (1 - y_i) \ln(1 - \hat{p}_i)\}}{N \bar{y} \ln \bar{y} + N(1 - \bar{y}) \ln(1 - \bar{y})}
\end{aligned}$$

With binary dependent variable, $\ln L_0 \leq \ln L_{fit} \leq 0$ means $0 \leq R_{mcf}^2 \leq 1$. It is a negative percentage change of log likelihood values. It is the default Pseudo- R^2 in Stata command *logit* and *probit*.

```
logit_model <- glm(y ~ x1 + x2, family = binomial(link = "logit"), data = d)
mc_fadden_r2 <- 1 - as.numeric(logLik(logit_model) / logLik(update(logit_model, formula = y ~ 1)))
```

1.13.5 Cox & Snell's (1970) Pseudo- R^2

This is from Statistics. It is the default Pseudo- R^2 in SAS proc *logistic*.

$$R_{cs}^2 = 1 - \exp\left(-\frac{2}{N}(\ln L_{fit} - \ln L_0)\right) = 1 - \left(\frac{L_0}{L_{fit}}\right)^{2/N}$$

With binary dependent variable, $\ln L_0 \leq \ln L_{fit} \leq 0$ means $0 \leq R_{cs}^2 \leq 1 - \exp\left(\frac{2}{N} \ln L_0\right) < 1$. Thus, it is less than one ($\ln L_0$ cannot be negative infinity). For normal linear regression with homoscedasticity and known variance (not necessarily binary dependent variable), we have

$$\begin{aligned} R_{cs}^2 &= 1 - \exp\left[-\frac{2}{N}\left(-\frac{1}{2\sigma^2}\right)\left(\sum_{i=1}^N (y_i - \mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})^2 - \sum_{i=1}^N (y_i - \bar{y})^2\right)\right] \\ &= 1 - \exp\left[\frac{1}{N\sigma^2}(SSE_{Error} - SST_{Total})\right] = 1 - \exp\left[\frac{1}{N\sigma^2}(-SSReg)\right] \\ &\approx \frac{1}{N\sigma^2}SSReg \approx \frac{1}{N \cdot \sum_{i=1}^N (y_i - \bar{y})^2 / N}SSReg = \frac{SSReg}{SST} = R^2 \end{aligned}$$

It applies Taylor first order approximation centered at zero i.e., $1 - e^z \approx -z$. We also substitute σ^2 with $\hat{\sigma}^2 = \sum_{i=1}^N (y_i - \bar{y})^2 / N$

1.13.6 Cragg & Uhler's (1970) Pseudo- R^2

Since Cox & Snell's R^2 is smaller than one, it is easy to adjust this by dividing its maximum value.

$$\begin{aligned} R_{cu}^2 &= R_{cs}^2 / (1 - \exp(\frac{2}{N} \ln L_0)) \\ &= \frac{1 - (\frac{L_0}{L_{fit}})^{2/N}}{1 - L_0^{2/N}} \end{aligned}$$

Many authors refer this as Nagelkerke's (1991) Pseudo- R^2 . However, it can at least date back to Cragg and Uhler (1970) published on The Canadian Journal of Economics. Maddala (1983) cited this correctly.

1.13.7 Pearson X^2 Test and Hosmer & Lemeshow (1980) Test

These tests are usually omitted in Econometrics textbooks. Assuming there are J groups, the value of $\mathbf{x}$ are the same in each group,

$$X^2 = \sum_{j=1}^J \frac{(\sum_{i=1}^{n_j} y_{ij} - n_j \hat{p}_j)^2}{n_j \hat{p}_j (1 - \hat{p}_j)} \rightarrow_p \chi^2$$

However, if $\mathbf{x}$ are unique for all observations e.g., there is at least one continuous independent variable, X^2 does not converge to χ^2 . The summand is the square of Pearson residual. The residual is the z-score of a binomial random variable, thus is asymptotic standard normal.

Hosmer & Lemeshow (1980) extend this idea for dataset without same $\mathbf{x}$. Groups are formed by sorting the predicted probabilities $\hat{p}_i$,

$$HL = \sum_{j=1}^J \frac{(\sum_{i=1}^{n_j} y_{ij} - \sum_{i=1}^{n_j} \hat{p}_{ij})^2}{(\sum_{i=1}^{n_j} \hat{p}_{ij})(1 - \sum_{i=1}^{n_j} \frac{\hat{p}_{ij}}{n_j})}$$

The HL statistic does not converge in probability to χ^2 because the summand is not a square of asymptotic standard normal random variable. However, when all the $\mathbf{x}$ are unique, it is approximated by χ^2 with $J - 2$ degree of freedom. Different software may calculate different value of HL due to the treatment of tie for $\hat{p}_i$. The number of groups J is arbitrary, and different value of J may lead to reverse result.

2 Latent Variable Models

2.1 Index Function Model

$$y_i^* = \mathbf{x}_i' \boldsymbol{\beta} + u_i \quad y_i^* \text{ is unobservable}$$

But we can observe y_i ,

$$\begin{aligned} y_i &= 1(y_i^* > 0) \\ \mathbb{E}(y_i | \mathbf{x}_i) &= 1 \cdot Pr(y_i = 1 | \mathbf{x}_i) + 0 \cdot Pr(y_i = 0 | \mathbf{x}_i) \\ &= Pr(y_i = 1 | \mathbf{x}_i) \\ &= Pr(y_i^* > 0 | \mathbf{x}_i) \\ &= Pr(\mathbf{x}_i' \boldsymbol{\beta} + u_i > 0 | \mathbf{x}_i) \\ &= Pr(u_i > -\mathbf{x}_i' \boldsymbol{\beta} | \mathbf{x}_i) \\ &= Pr(u_i \leq \mathbf{x}_i' \boldsymbol{\beta} | \mathbf{x}_i) \quad \text{if } u_i \text{ is symmetric at 0} \\ &= F_u(\mathbf{x}_i' \boldsymbol{\beta}) \end{aligned}$$

If u_i follows standard uniform, the model is LPM. If u_i follows standard Logistic distribution, the model is Logit model. If u_i follows standard Normal distribution, it is Probit model. If u_i follows scaled t distribution (location parameter = 0, free scale parameter τ), it is Robit model. If u_i follows standard type 1 Extreme Value distribution (standard log-Weibull distribution or standard Gumbel distribution), it is Log-log Link/Gumbel model. If u_i follows Type 2 Generalized Logistic distribution, it is Skewed Logit model.

2.2 Identification of parameters

$$y_i = 1 \implies y_i^* > 0 \implies \mathbf{x}_i' \boldsymbol{\beta} + u_i > 0$$

However, for any constant $c > 0$,

$$\mathbf{x}_i' \boldsymbol{\beta} + u_i > 0 \iff \mathbf{x}_i' c\boldsymbol{\beta} + cu_i > 0$$

So, $\boldsymbol{\beta}$ is not identified with $y_i = 1(y_i^* > 0)$. Thus, we restrict $Var(u_i | \mathbf{x}_i)$ to identify $\boldsymbol{\beta}$. If u_i follows standard Logistic distribution, $Var(u_i | \mathbf{x}_i) = \pi^2/3$. If u_i follows standard Normal distribution, $Var(u_i | \mathbf{x}_i) = 1$. If u_i follows standard Gumbel distribution, $Var(u_i | \mathbf{x}_i) = \pi^2/6$.

2.3 Additive Random Utility Model (ARUM)

$y = 0$ means choosing option 0. Utility obtained from this is U_0 ; $y = 1$ means choosing option 1. Utility obtained from this is U_1 .

$$\begin{aligned} U_0 &= V_0 + \varepsilon_0 & V_0 \text{ is deterministic component of utility} \\ U_1 &= V_1 + \varepsilon_1 \end{aligned}$$

$$y = 1(U_1 > U_0)$$

$$\begin{aligned}
\mathbb{E}(y|\mathbf{x}) &= 1 \cdot Pr(y = 1|\mathbf{x}) + 0 \cdot Pr(y = 0|\mathbf{x}) \\
&= Pr(y = 1|\mathbf{x}) \\
&= Pr(U_1 > U_0|\mathbf{x}) \\
&= Pr(V_1 + \varepsilon_1 > V_0 + \varepsilon_0|\mathbf{x}) \\
&= Pr(V_1 - V_0 > \varepsilon_0 - \varepsilon_1|\mathbf{x}) \\
&= Pr(\varepsilon_0 - \varepsilon_1 < V_1 - V_0|\mathbf{x}) \\
&= F_{\varepsilon_0 - \varepsilon_1}(V_1 - V_0)
\end{aligned}$$

2.3.1 Special Case: Logit Model

If ε_0 and ε_1 are independent and both follow standard type 1 Extreme Value distribution (standard log-Weibull distribution or standard Gumbel distribution). It can be shown $\varepsilon_0 - \varepsilon_1$ follows standard Logistic distribution i.e., $F_{\varepsilon_0 - \varepsilon_1}(\cdot) = \Lambda(\cdot)$. It can also be shown by direct integration,

$$\begin{aligned}
Pr(y = 1|\mathbf{x}) &= Pr(\varepsilon_0 - \varepsilon_1 < V_1 - V_0|\mathbf{x}) \\
&= Pr(\varepsilon_0 < \varepsilon_1 + V_1 - V_0|\mathbf{x}) \\
&= \int_{-\infty}^{\infty} \int_{-\infty}^{\varepsilon_1 + V_1 - V_0} f(\varepsilon_0, \varepsilon_1) \partial \varepsilon_0 \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} \int_{-\infty}^{\varepsilon_1 + V_1 - V_0} f_{\varepsilon_0}(\varepsilon_0) f_{\varepsilon_1}(\varepsilon_1) \partial \varepsilon_0 \partial \varepsilon_1 && \text{as independence} \\
&= \int_{-\infty}^{\infty} f_{\varepsilon_1}(\varepsilon_1) \left[\int_{-\infty}^{\varepsilon_1 + V_1 - V_0} f_{\varepsilon_0}(\varepsilon_0) \partial \varepsilon_0 \right] \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} f_{\varepsilon_1}(\varepsilon_1) \left[\int_{-\infty}^{\varepsilon_1 + V_1 - V_0} e^{-\varepsilon_0} \exp(-e^{-\varepsilon_0}) \partial \varepsilon_0 \right] \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} f_{\varepsilon_1}(\varepsilon_1) \exp(-e^{-\varepsilon_0}) \Big|_{-\infty}^{\varepsilon_1 + V_1 - V_0} \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} f_{\varepsilon_1}(\varepsilon_1) [\exp(-e^{-(\varepsilon_1 + V_1 - V_0)}) - \exp(-e^{-\infty})] \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} f_{\varepsilon_1}(\varepsilon_1) \exp(-e^{-(\varepsilon_1 + V_1 - V_0)}) \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} e^{-\varepsilon_1} \exp(-e^{-\varepsilon_1}) \exp(-e^{-(\varepsilon_1 + V_1 - V_0)}) \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} e^{-\varepsilon_1} \exp(-e^{-\varepsilon_1} - e^{-(\varepsilon_1 + V_1 - V_0)}) \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} e^{-\varepsilon_1} \exp(-e^{-\varepsilon_1} - e^{-\varepsilon_1} e^{-(V_1 - V_0)}) \partial \varepsilon_1 \\
&= \int_{-\infty}^{\infty} e^{-\varepsilon_1} \exp(-e^{-\varepsilon_1} (1 + e^{-(V_1 - V_0)})) \partial \varepsilon_1 \\
&= 1/(1 + e^{-(V_1 - V_0)}) && \text{as } \int_{-\infty}^{\infty} a e^{-\varepsilon} \exp(-a e^{-\varepsilon}) d\varepsilon = 1 \\
&= \Lambda(V_1 - V_0)
\end{aligned}$$

If $V_1 - V_0 = \mathbf{x}'\boldsymbol{\beta}$, $Pr(y = 1|\mathbf{x}) = \Lambda(\mathbf{x}'\boldsymbol{\beta})$. It is Logit model.

2.3.2 Special Case: Probit Model

If ε_0 and ε_1 are multivariate (bivariate here) standard normally distributed, any linear combination of ε_0 and ε_1 also follow standard normal. So, $\varepsilon_0 - \varepsilon_1$ follows univariate standard normal. i.e., $F_{\varepsilon_0 - \varepsilon_1}(\cdot) = \Phi(\cdot)$.

2.4 Endogeneous Probit Model

2.4.1 Only one continuous endogeneous variable

The model imposes strong distributional assumption. It is basically a non-linear simultaneous equation model.

$$y_i^* = \mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma + u_i$$

$$z_i = \mathbf{w}_i' \boldsymbol{\alpha} + \varepsilon_i$$

First stage

$$y_i = 1(y_i^* > 0)$$

$$\begin{pmatrix} u_i \\ \varepsilon_i \end{pmatrix} \sim N\left(\begin{pmatrix} 0 \\ 0 \end{pmatrix}, \begin{pmatrix} 1 & \rho\sigma_\varepsilon \\ \rho\sigma_\varepsilon & \sigma_\varepsilon^2 \end{pmatrix}\right)$$

ε_i is thus correlated with u_i when $\rho \neq 0$. Therefore, z_i is correlated with u_i and thus z_i is endogeneous. Thus, we can test the exogeneity of z_i by $H_0 : \rho = 0$. IV estimation cannot be applied. Maximum Likelihood Estimation can be applied though.

The log likelihood function is

$$\begin{aligned} \ln L &= \sum_{i=1}^N \ln f(y_i, z_i | \mathbf{x}_i, \mathbf{w}_i) \\ &= \sum_{i=1}^N \ln [f(y_i | z_i, \mathbf{x}_i, \mathbf{w}_i) f(z_i | \mathbf{x}_i, \mathbf{w}_i)] \\ &= \sum_{i=1}^N \{ \ln [f(y_i | z_i, \mathbf{x}_i, \mathbf{w}_i)] + \ln [f(z_i | \mathbf{x}_i, \mathbf{w}_i)] \} \\ &= \sum_{i=1}^N \{ \ln [\Phi((2y_i - 1) \frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}})] + \ln [\phi(\frac{z_i - \mathbf{w}_i' \boldsymbol{\alpha}}{\sigma_\varepsilon}) / \sigma_\varepsilon] \} \end{aligned}$$

$$\begin{aligned} \ln f(y_i | z_i, \mathbf{x}_i, \mathbf{w}_i) &= y_i \ln \Pr(y_i = 1 | z_i, \mathbf{x}_i, \mathbf{w}_i) + (1 - y_i) \ln (1 - \Pr(y_i = 1 | z_i, \mathbf{x}_i, \mathbf{w}_i)) \\ &= y_i \ln \Phi\left(\frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right) + (1 - y_i) \ln \left(1 - \Phi\left(\frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right)\right) \\ &= y_i \ln \Phi\left(\frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right) + (1 - y_i) \ln \Phi\left(-\frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right) \\ &= \ln \Phi\left((2y_i - 1) \frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right) \end{aligned}$$

$$\begin{aligned} \Pr(y_i = 1 | z_i, \mathbf{x}_i, \mathbf{w}_i) &= \Pr(y_i^* > 0 | z_i, \mathbf{x}_i, \mathbf{w}_i) \\ &= \Pr(u_i \leq \mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma | z_i, \mathbf{x}_i, \mathbf{w}_i) \\ &= \Pr(\nu_i \leq \mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma | \mathbf{x}_i, \mathbf{w}_i) && \text{where } \nu_i := u_i | \varepsilon_i \sim N((\rho\sigma_\varepsilon/\sigma_\varepsilon^2)\varepsilon_i, 1 - \rho^2\sigma_\varepsilon^2/\sigma_\varepsilon^2) \\ &= \Pr\left(\frac{\nu_i - (\rho/\sigma_\varepsilon)\varepsilon_i}{\sqrt{1 - \rho^2}} \leq \frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)\varepsilon_i}{\sqrt{1 - \rho^2}} | \mathbf{x}_i, \mathbf{w}_i\right) \\ &= \Pr(Z \leq \frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}} | \mathbf{x}_i, \mathbf{w}_i) \\ &= \Phi\left(\frac{\mathbf{x}_i' \boldsymbol{\beta} + z_i \gamma - (\rho/\sigma_\varepsilon)(z_i - \mathbf{w}_i' \boldsymbol{\alpha})}{\sqrt{1 - \rho^2}}\right) \end{aligned}$$

2.4.2 Only one dummy endogeneous variable

Angrist (2001, Section 4) suggests several estimation strategies if causal effect (potential outcome framework) is the target. The simplest one is to specify a linear model e.g. $y_i = \mathbf{x}'_i \boldsymbol{\beta} + D_i \gamma + u_i$ and use IV/2SLS estimation regardless the binary nature of y_i . In his own words, “Although the constant-effects assumption is clearly unrealistic, in practice, more general estimation strategies often lead to similar average effects” (Angrist, 2001 p.8).

Another strategy is to find a MMSE approximation of Complier Causal Response Function (CCRF) by using weighted non-linear least squares to minimize $\mathbb{E}[\kappa_i(y_i - \Phi(\mathbf{x}'_i \boldsymbol{\beta} + D_i \gamma))^2]$ where κ_i is Abadie’s Kappa. The treatment status difference of CCRF is conditional Local Average Treatment Effect (LATE).

2.5 Estimation of Change in Consumer Surplus

Small and Rosen (1981) shows that under certain assumptions, the change in expected welfare (consumer surplus) per person is

$$\frac{\Delta E}{N} = -\frac{1}{\lambda} \int_{W_1^0}^{W_1^f} \pi_1(W_1, W_2) dW_1$$

where λ is the marginal utility of income, $\pi_1(W_1, W_2) = Pr(\varepsilon_2 - \varepsilon_1 < W_1 - W_2)$, W_j is the deterministic utility of good j , ε_j is the stochastic utility of good j , W_j^0 is the deterministic utility of good j at quantity 0.

If ε_2 and ε_1 are independent and both follow standard Gumbel distribution, we have $\pi_1(W_1, W_2) = \frac{\exp(W_1)}{\exp(W_1) + \exp(W_2)} = 1/(1 + e^{-(W_1 - W_2)}) = 1/(1 + e^{-(\mathbf{x}_1 - \mathbf{x}_2)' \boldsymbol{\beta}})$ i.e., Logit model. Thus,

$$\begin{aligned} \frac{\Delta E}{N} &= -\frac{1}{\lambda} \int_{W_1^0}^{W_1^f} \frac{\exp(W_1)}{\exp(W_1) + \exp(W_2)} dW_1 \\ &= -\frac{1}{\lambda} \ln \sum_{j=1}^2 \exp(W_j) \Big|_{W_1^0}^{W_1^f} \\ &= -\frac{1}{\lambda} \left\{ \ln \sum_{j=1}^2 \exp(W_j^f) - \ln \sum_{j=1}^2 \exp(W_j^0) \right\} \end{aligned}$$

Thus, the estimate of the change in expected consumer surplus is

$$-\frac{1}{\lambda} \left\{ \ln \sum_{j=1}^2 \exp(\mathbf{x}'_j \hat{\boldsymbol{\beta}}^f) - \ln \sum_{j=1}^2 \exp(\mathbf{x}'_j \hat{\boldsymbol{\beta}}^0) \right\}$$

by estimating two Logit models and estimate λ separately.

2.6 Single Agent Dynamic Discrete Choice Model

This model is popular in Structural Econometrics and Structural Industrial Organization. There is a representative who is maximizing her utility overtime, certain assumptions are made on her decision making behavior under uncertainty.

2.6.1 Stochastic Dynamic Programming

Under certain conditions (see Theorem 3.2 of Rust, 1994), v is the unique solution to the Bellman’s equation of the stochastic dynamic programming problem,

$$\begin{aligned} v(x, d) &= u(x, d) + \beta \int \int \{ \max_{d' \in D(y)} [v(y, d') + \varepsilon(d')] \} q(d\varepsilon|y) \pi(dy|x, d) \\ &= u(x, d) + \beta \int G[\{v(y, d'), d' \in D(y)\} | y] \pi(dy|x, d) \end{aligned}$$

where the social surplus $G[\{u(x, d), d \in D(x)\}|x] := \int \{max_{d \in D(x)}[u(x, d) + \varepsilon(d)]\}q(d\varepsilon|x)$. It means that under certain conditions, v is the unique fixed point to the contraction mapping $\Psi : B \rightarrow B$,

$$\Psi(v)(x, d) = u(x, d) + \beta \int G[\{v(y, d'), d' \in D(y)\}|y]\pi(dy|x, d)$$

Under certain conditions (see Theorem 3.3 of Rust, 1994), the conditional choice probability is

$$P(d|x) = \frac{\partial G[\{v(x, d), d \in D(x)\}|x]}{\partial v(x, d)}$$

If $q(d\varepsilon|x)$ is standard Type 1 Extreme Value distribution i.e., standard Gumbel distribution and set $D(x) = \{0, 1\}$, we have the Logit model,

$$P(d|x) = \frac{\exp(v(x, d))}{\sum_{d' \in D(x)} \exp(v(x, d'))}$$

where $v(x, d)$ is the unique fixed point to the contraction mapping $\Psi : B \rightarrow B$ defined above. As

$$\frac{\exp(v(x, d))}{\sum_{d' \in D(x)} \exp(v(x, d'))} = \frac{\partial G[\{v(x, d), d \in D(x)\}|x]}{\partial v(x, d)} \implies G[\{v(x, d), d \in D(x)\}|x] = \ln \left[\sum_{d \in D(x)} \exp(v(x, d)) \right]$$

we have

$$\Psi(v)(x, d) = u(x, d) + \beta \int \ln \left[\sum_{d' \in D(y)} \exp(v(y, d')) \right] \pi(dy|x, d)$$

2.6.2 Maximum Likelihood Estimation by Nested Fixed Point (NFP) Algorithm

The log likelihood function is

$$\begin{aligned} \ln L(\theta) &= \ln \left[\prod_{t=1}^T \left\{ \prod_{j=0}^1 P(d_t = j|x_t; \theta)^{1(d_t=j)} \right\} \pi(x_t|x_{t-1}, d_{t-1}; \theta) \right] \\ &= \sum_{t=1}^T \left\{ \sum_{j=0}^1 1(d_t = j) \ln \frac{\exp(v(x_t, j; \theta))}{\sum_{k=0}^1 \exp(v(x_t, k; \theta))} \right\} + \sum_{t=1}^T \ln \pi(x_t|x_{t-1}, d_{t-1}; \theta) \end{aligned}$$

The NFP algorithm (Rust, 1987) is computationally intensive nested loops.

Outer Loop:

Find θ to maximize $\ln L(\theta)$.

Inner Loop:

For each guess of θ , find v by solving the Bellman's equation $\Psi(v)(x, d) = u(x, d) + \beta \int \ln \left[\sum_{d' \in D(y)} \exp(v(y, d')) \right] \pi(dy|x, d)$.

3 Hypothesis Test

3.1 Lagrange Multiplier Test, that is LM Test

that is easy to go through, no reason to take a break.

$$\mathbf{S} = \begin{pmatrix} s_1(\hat{\boldsymbol{\beta}})' \\ \vdots \\ s_N(\hat{\boldsymbol{\beta}})' \end{pmatrix}$$

$$\text{where } s_i(\hat{\boldsymbol{\beta}}) = \frac{\partial \ln l_i(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}} \Big|_{\hat{\boldsymbol{\beta}}}$$

$$\alpha_{LM} = N \frac{\mathbf{1}' \mathbf{S} (\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1}}{\mathbf{1}' \mathbf{1}} := N \cdot R_u^2 \rightarrow_d \chi^2$$

$\mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}'$ is the Hat matrix. Thus, $\mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1}$ is an OLS predicted value of Outer-Product-of-the-Gradient (OPG) regression in which $\mathbf{1}$ is dependent variable and $\mathbf{S}$ is regressors. The Sum of Squares Regression i.e., Explained Sum of Squares is

$$\begin{aligned} (\mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1})' \mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1} &= \mathbf{1}' \mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1} \\ &= \mathbf{1}' \mathbf{S}(\mathbf{S}' \mathbf{S})^{-1} \mathbf{S}' \mathbf{1} \end{aligned}$$

$\mathbf{1}' \mathbf{1}$ is Sum of Squares Total. Thus, α_{LM} is N times R_u^2 . Note that the uncentered R-squared R_u^2 is equal to usual R-squared R^2 if the model does not have an intercept.

3.1.1 Normality Test (Bera, Jarque and Lee, 1984) of Probit Model

If the density function of error term u_i in latent variable model is within the Pearson family, its c.d.f. is

$$Pr(u_i \leq t) = \Phi(t + \gamma_1 t^2 + \gamma_2 t^3)$$

where γ_1 controls the third moment i.e., skewness while γ_2 controls the fourth moment i.e., excess kurtosis. Clearly, u_i is standard normally distributed if both γ_1 and γ_2 are zero. This is the zero hypothesis.

Extended probit model becomes

$$Pr(y_i = 1 | \mathbf{x}_i) = \Phi(\mathbf{x}_i' \boldsymbol{\beta} + \gamma_1 (\mathbf{x}_i' \boldsymbol{\beta})^2 + \gamma_2 (\mathbf{x}_i' \boldsymbol{\beta})^3)$$

Under zero hypothesis $\gamma_1 = \gamma_2 = 0$,

$$s_i \left(\begin{pmatrix} \hat{\boldsymbol{\beta}}_{mle} \\ \hat{\gamma}_{1,mle} \\ \hat{\gamma}_{2,mle} \end{pmatrix} \right) = \begin{pmatrix} \frac{\partial \ln l_i(\boldsymbol{\beta}, \gamma_1, \gamma_2)}{\partial \boldsymbol{\beta}} \Big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\gamma}_{1,mle}, \hat{\gamma}_{2,mle}, \gamma_1 = \gamma_2 = 0} \\ \frac{\partial \ln l_i(\boldsymbol{\beta}, \gamma_1, \gamma_2)}{\partial \gamma_1} \Big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\gamma}_{1,mle}, \hat{\gamma}_{2,mle}, \gamma_1 = \gamma_2 = 0} \\ \frac{\partial \ln l_i(\boldsymbol{\beta}, \gamma_1, \gamma_2)}{\partial \gamma_2} \Big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\gamma}_{1,mle}, \hat{\gamma}_{2,mle}, \gamma_1 = \gamma_2 = 0} \end{pmatrix} = \begin{pmatrix} \hat{\varepsilon}_i^G \mathbf{x}_i \\ \hat{\varepsilon}_i^G (\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})^2 \\ \hat{\varepsilon}_i^G (\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})^3 \end{pmatrix}$$

where $\hat{\varepsilon}_i^G := \frac{y_i - \Phi(\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})}{\Phi(\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})(1 - \Phi(\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle}))} \phi(\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})$ is the generalized residual. We know that matrix $\mathbf{S}$ has variables $\hat{\varepsilon}_i^G \mathbf{x}_i$, $\hat{\varepsilon}_i^G (\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})^2$ and $\hat{\varepsilon}_i^G (\mathbf{x}_i' \hat{\boldsymbol{\beta}}_{mle})^3$. We can then regress 1 on these variables (no intercept). The usual R-squared R^2 of such model times N is α_{LM} , which is asymptotically Chi-squared distributed with two degree of freedom under zero hypothesis. If α_{LM} is large enough, we reject zero hypothesis i.e., reject normality of u_i and $F(\cdot)$ should not be $\Phi(\cdot)$.

Implementation in R.

```
probit_model <- glm(y ~ x1 + x2, family = binomial(link = "probit"), data = d)
```

```

xb_hat <- predict(probit_model, type = "link")
p_hat <- predict(probit_model, type = "response")
e_g <- (d[["y"]] - p_hat) * dnorm(xb_hat) / (p_hat * (1 - p_hat))

opg_d <-
  data.frame(
    y = 1,
    e_g_x = e_g * as.matrix(cbind(1, d[c("x1", "x2")])),
    e_g_xb_square = e_g * xb_hat^2,
    e_g_xb_cube = e_g * xb_hat^3
  )

alpha_lm <- nrow(opg_d) * summary(lm(y ~ . -1, data = opg_d))$r.squared
p_value <- pchisq(alpha_lm, df = 2, lower.tail = FALSE, ncp = 0, log.p = FALSE)
if (p_value < 0.01) print("reject gamma_1 = gamma_2 = 0 <=> reject u_i is standard normal")

```

3.1.2 Heteroskedasticity Test of Probit Model

Harvey (1976) proposes

$$Pr(y_i = 1 | \mathbf{x}_i) = \Phi(\mathbf{x}'_i \boldsymbol{\beta} / \exp(\mathbf{z}'_i \boldsymbol{\gamma}))$$

where $\mathbf{z}_i$ does not have an intercept. Under zero hypothesis, $\boldsymbol{\gamma} = \mathbf{0}$,

$$s_i \begin{pmatrix} \hat{\boldsymbol{\beta}}_{mle} \\ \hat{\boldsymbol{\gamma}}_{mle} \end{pmatrix} = \begin{pmatrix} \frac{\partial \ln l_i(\boldsymbol{\beta}, \boldsymbol{\gamma}_1, \boldsymbol{\gamma}_2)}{\partial \boldsymbol{\beta}} \big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\gamma}}_{mle}, \boldsymbol{\gamma}=\mathbf{0}} \\ \frac{\partial \ln l_i(\boldsymbol{\beta}, \boldsymbol{\gamma}_1, \boldsymbol{\gamma}_2)}{\partial \boldsymbol{\gamma}} \big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\gamma}}_{mle}, \boldsymbol{\gamma}=\mathbf{0}} \end{pmatrix} = \begin{pmatrix} \hat{\varepsilon}_i^G \mathbf{x}_i \\ -\hat{\varepsilon}_i^G \mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle} \mathbf{z}_i \end{pmatrix}$$

because

$$\frac{\partial \Phi(\mathbf{x}'_i \boldsymbol{\beta} / \exp(\mathbf{z}'_i \boldsymbol{\gamma}))}{\partial \boldsymbol{\gamma}} \big|_{\boldsymbol{\gamma}=\mathbf{0}} = -\phi(\mathbf{x}'_i \boldsymbol{\beta} / \exp(\mathbf{z}'_i \boldsymbol{\gamma})) \mathbf{x}'_i \boldsymbol{\beta} \exp(\mathbf{z}'_i \boldsymbol{\gamma})^{-1} \mathbf{z}_i \big|_{\boldsymbol{\gamma}=\mathbf{0}} = -\phi(\mathbf{x}'_i \boldsymbol{\beta}) \mathbf{x}'_i \boldsymbol{\beta} \mathbf{z}_i$$

where $\hat{\varepsilon}_i^G := \frac{y_i - \Phi(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})}{\Phi(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})(1 - \Phi(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}))} \phi(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})$ is the generalized residual. We know that matrix $\mathbf{S}$ has variables $\hat{\varepsilon}_i^G \mathbf{x}'_i$, $-\hat{\varepsilon}_i^G \mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle} \mathbf{z}'_i$. We can then regress 1 on these variables (no intercept). The usual R-squared R^2 of such model times N is α_{LM} , which is asymptotically Chi-squared distributed with $\dim(\mathbf{z}_i)$ degree of freedom under zero hypothesis. If α_{LM} is large enough, we reject zero hypothesis i.e., reject homoskedasticity of u_i . Likelihood ratio test is not recommended here since the log-likelihood value of the unrestricted model is less easy to compute.

3.1.3 Omitted Variable Test

$$Pr(y_i = 1 | \mathbf{x}_i) = F(\mathbf{x}'_i \boldsymbol{\beta} + \mathbf{z}'_i \boldsymbol{\gamma})$$

Under zero hypothesis, $\boldsymbol{\gamma} = \mathbf{0}$,

$$s_i \begin{pmatrix} \hat{\boldsymbol{\beta}}_{mle} \\ \hat{\boldsymbol{\gamma}}_{mle} \end{pmatrix} = \begin{pmatrix} \frac{\partial \ln l_i(\boldsymbol{\beta}, \boldsymbol{\gamma}_1, \boldsymbol{\gamma}_2)}{\partial \boldsymbol{\beta}} \big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\gamma}}_{mle}, \boldsymbol{\gamma}=\mathbf{0}} \\ \frac{\partial \ln l_i(\boldsymbol{\beta}, \boldsymbol{\gamma}_1, \boldsymbol{\gamma}_2)}{\partial \boldsymbol{\gamma}} \big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\gamma}}_{mle}, \boldsymbol{\gamma}=\mathbf{0}} \end{pmatrix} = \begin{pmatrix} \hat{\varepsilon}_i^G \mathbf{x}_i \\ \hat{\varepsilon}_i^G \mathbf{z}_i \end{pmatrix}$$

where $\hat{\varepsilon}_i^G := \frac{y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}))} F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})$ is the generalized residual. We know that matrix $\mathbf{S}$ has variables $\hat{\varepsilon}_i^G \mathbf{x}'_i$, $\hat{\varepsilon}_i^G \mathbf{z}'_i$. We can then regress 1 on these variables (no intercept). The usual R-squared R^2 of such model times N is α_{LM} , which is asymptotically Chi-squared distributed with $\dim(\mathbf{z}_i)$ degree of freedom under zero hypothesis. If α_{LM} is large enough, we reject zero hypothesis i.e., reject no omitted variables. Likelihood ratio test is not recommended here if $\dim(\mathbf{z}_i)$ is large.

3.1.4 Test of Heaviness of Tails and Symmetry of Logit Model

$$Pr(y_i = 1 | \mathbf{x}_i) = \Lambda_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta}) = \frac{1}{1 + e^{-h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}} = \Lambda(h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta}))$$

where $h_{\alpha}(\cdot)$ is a strictly increasing non-linear function. Under zero hypothesis, $\alpha = \mathbf{0}$,

$$s_i \left(\begin{pmatrix} \hat{\boldsymbol{\beta}}_{mle} \\ \hat{\boldsymbol{\alpha}}_{mle} \end{pmatrix} \right) = \left(\begin{pmatrix} \frac{\partial \ln l_i(\boldsymbol{\beta}, \gamma_1, \gamma_2)}{\partial \boldsymbol{\beta}} \\ \frac{\partial \ln l_i(\boldsymbol{\beta}, \gamma_1, \gamma_2)}{\partial \boldsymbol{\alpha}} \end{pmatrix} \Big|_{\hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\alpha}}_{mle}, \alpha = \mathbf{0}} \right) = \begin{pmatrix} \hat{\varepsilon}_i^G \mathbf{x}_i \\ \hat{\varepsilon}_i^G \frac{\partial h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}, \hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\alpha}}_{mle}} \end{pmatrix}$$

because

$$\frac{\partial \Lambda(h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta}))}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}} = \Lambda'(h_{\alpha = \mathbf{0}}(\mathbf{x}'_i \boldsymbol{\beta})) \frac{\partial h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}} = \Lambda'(\mathbf{x}'_i \boldsymbol{\beta}) \frac{\partial h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}}$$

where $\hat{\varepsilon}_i^G := \frac{y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})}{\Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})(1 - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}))} \Lambda'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}) = y_i - \Lambda(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})$ is the generalized residual. We know that matrix $\mathbf{S}$ has variables $\hat{\varepsilon}_i^G \mathbf{x}'_i, \hat{\varepsilon}_i^G \left(\frac{\partial h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}, \hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\alpha}}_{mle}} \right)'$. We can then regress 1 on these variables (no intercept). The usual R-squared R^2 of such model times N is α_{LM} , which is asymptotically Chi-squared distributed with $\dim\left(\frac{\partial h_{\alpha}(\mathbf{x}'_i \boldsymbol{\beta})}{\partial \boldsymbol{\alpha}} \Big|_{\alpha = \mathbf{0}, \hat{\boldsymbol{\beta}}_{mle}, \hat{\boldsymbol{\alpha}}_{mle}}\right)$ degree of freedom under zero hypothesis. If α_{LM} is large enough, we reject zero hypothesis.

3.2 Wald Test

3.2.1 Nonlinearity of $\boldsymbol{\beta}$

Under zero hypothesis $\mathbf{h}(\boldsymbol{\beta}) = \mathbf{0}$,

$$W := \mathbf{h}(\hat{\boldsymbol{\beta}}_{mle})' \left[\frac{\partial \mathbf{h}(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}'} \Big|_{\hat{\boldsymbol{\beta}}_{mle}} \left\{ \sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})^2}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}_{mle}))} \mathbf{x}_i \mathbf{x}'_i \right\}^{-1} \frac{\partial \mathbf{h}(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}} \Big|_{\hat{\boldsymbol{\beta}}_{mle}} \right]^{-1} \mathbf{h}(\hat{\boldsymbol{\beta}}_{mle}) \rightarrow_d \chi^2$$

3.3 Likelihood Ratio (LR) Test

$$LR := 2(\ln L_{ur} - \ln L_r) \rightarrow_d \chi^2(\# \text{ of restrictions})$$

where ur stands for unrestricted. If H_0 is all coefficients (except the intercept) are zero,

$$LR := 2(\ln L_{ur} - [N \bar{y} \ln \bar{y} + N(1 - \bar{y}) \ln(1 - \bar{y})]) \rightarrow_d \chi^2_{\dim(\boldsymbol{\beta}) - 1}$$

$\ln L_r$ is derived in the section of McFadden's R^2 .

4 Generalized Linear Model (GLM)

GLM is originated from Statistics, and usually not covered in Econometrics textbook.

4.1 Exponential Family of Distribution

4.1.1 Probability Mass Function

$$f(y|\theta, \eta) = a(y) \exp\left[\frac{y \cdot \theta - b(\theta)}{\eta} + c(y, \eta)\right]$$

4.1.2 Moments

$$\mathbb{E}(y) = b'(\theta)$$

$$Var(y) = b''(\theta)\eta$$

If $\theta = \mathbf{x}'\boldsymbol{\beta}$, we have $\mathbb{E}(y) = b'(\mathbf{x}'\boldsymbol{\beta})$. Thus, $b'(\cdot)$ is the canonical mean function and $b'^{-1}(\cdot)$ is the canonical link function.

4.1.3 Special Case: Binomial Distribution

$$\begin{aligned} f(y|p) &= \binom{n}{p} p^y (1-p)^{n-y} \\ &= \exp\left[\ln\left(\binom{n}{p} p^y (1-p)^{n-y}\right)\right] \\ &= \exp\left[\ln\left(\binom{n}{p}\right) + \ln(p^y (1-p)^{n-y})\right] \\ &= \exp\left[\ln\left(\binom{n}{p}\right) + y \cdot \ln(p) + (n-y)\ln(1-p)\right] \\ &= \exp\left[\ln\left(\binom{n}{p}\right) + y \cdot \ln(p) + n \cdot \ln(1-p) - y \cdot \ln(1-p)\right] \\ &= \exp\left[\ln\left(\binom{n}{p}\right) + y(\ln(p) - \ln(1-p)) + n \cdot \ln(1-p)\right] \\ &= \exp\left[y \ln\left(\frac{p}{1-p}\right) - (n \cdot \ln(1-p)) + \ln\left(\binom{n}{p}\right)\right] \end{aligned}$$

Thus, $\eta = 1$, $a(y) = 1$, $\theta = \ln \frac{p}{1-p}$, $b(\theta) = -n \cdot \ln(1-p)$, $c(y, \eta) = \ln \binom{n}{p}$

$$\theta = \ln \frac{p}{1-p} = \text{logit}(p) \iff \text{logistic}(\theta) = p$$

$$\begin{aligned} b(\theta) &= -n \cdot \ln(1-p) \\ &= -n \cdot \ln(1 - \text{logistic}(\theta)) \\ &= -n \cdot \ln\left(1 - \frac{1}{1 + e^{-\theta}}\right) \\ &= -n \cdot \ln\left(\frac{e^{-\theta}}{1 + e^{-\theta}}\right) \\ &= -n \cdot \ln\left(\frac{1}{1 + e^{\theta}}\right) \\ &= n \cdot \ln(1 + e^{\theta}) \end{aligned}$$

$$b'(\theta) = \frac{d}{d\theta} n \cdot \ln(1 + e^{\theta}) = n \frac{1}{1 + e^{\theta}} e^{\theta} = n \cdot \text{logistic}(\theta)$$

Thus, $\mathbb{E}(y) = b'(\theta) = n \cdot \text{logistic}(\theta)$. Bernoulli distribution is a special case of Binomial distribution with $n = 1$. Therefore, binary outcome model, i.e., y is Bernoulli distributed, is $\mathbb{E}(y) = \text{logistic}(\mathbf{x}'\boldsymbol{\beta})$ by setting $n = 1$ and $\theta = \mathbf{x}'\boldsymbol{\beta}$. Logistic function is the canonical mean function for binary outcome model. $F(\cdot)$ is thus selected to be logistic function.

5 Conditional Logistic Regression

Conditional MLE is applied in non-linear panel model in Econometrics.

$$Pr(y_i = 1) = \text{logistic}(\gamma + \mathbf{x}'_i \boldsymbol{\beta}) = \frac{e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}}{1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}}$$

5.1 Full Likelihood Function

$$\begin{aligned} L(\mathbf{y}; \boldsymbol{\beta}, \gamma) &= \prod_{i=1}^N \frac{e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta}) y_i}}{1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}} \\ &= \frac{\prod_{i=1}^N e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\prod_{i=1}^N [1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}]} \\ &= \frac{e^{\sum_{i=1}^N (\gamma + \mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\prod_{i=1}^N [1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}]} \\ &= \frac{e^{\gamma \sum_{i=1}^N y_i + \sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\prod_{i=1}^N [1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}]} \end{aligned}$$

assume independence of y_i

5.2 Conditional Likelihood Function

Define the set $G_t = \{\mathbf{y} \in \mathbb{R}^{\dim(\mathbf{y})}; \mathbf{y}'\mathbf{1} = t\}$

$$\begin{aligned} L(\mathbf{y} | \mathbf{y}'\mathbf{1} = t; \boldsymbol{\beta}, \gamma) &= \frac{Pr(\mathbf{y} \cap \mathbf{y}'\mathbf{1} = t)}{Pr(\mathbf{y}'\mathbf{1} = t)} \\ &= \frac{Pr(\mathbf{y} \cap \mathbf{y}'\mathbf{1} = t)}{Pr(\cup_{\mathbf{z} \in \mathbb{R}^{\dim(\mathbf{z})}} \{\mathbf{z} \cap \mathbf{z}'\mathbf{1} = t\})} \\ &= \frac{Pr(\mathbf{y} \cap \mathbf{y}'\mathbf{1} = t)}{\sum_{\mathbf{z} \in \mathbb{R}^{\dim(\mathbf{z})}} Pr(\mathbf{z} \cap \mathbf{z}'\mathbf{1} = t)} \\ &= \frac{Pr(\mathbf{y} \cap \mathbf{y}'\mathbf{1} = t)}{\sum_{\mathbf{z} \in G_t} Pr(\mathbf{z} \cap \mathbf{z}'\mathbf{1} = t)} \\ &= \frac{\frac{e^{\gamma t + \sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\prod_{i=1}^N [1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}]} }{\sum_{\mathbf{z} \in G_t} \frac{e^{\gamma t + \sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) z_i}}{\prod_{i=1}^N [1 + e^{(\gamma + \mathbf{x}'_i \boldsymbol{\beta})}]} } \\ &= \frac{e^{\gamma t + \sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\sum_{\mathbf{z} \in G_t} e^{\gamma t + \sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) z_i}} \\ &= \frac{e^{\gamma t} e^{\sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) y_i}}{e^{\gamma t} \sum_{\mathbf{z} \in G_t} e^{\sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) z_i}} \\ &= \frac{e^{\sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) y_i}}{\sum_{\mathbf{z} \in G_t} e^{\sum_{i=1}^N (\mathbf{x}'_i \boldsymbol{\beta}) z_i}} \end{aligned}$$

conditional probability

total probability

no intersection of sets

Parameter γ is gone.

6 Existence of MLE in Logit Model

This is from Statistics and usually not covered in Econometrics textbook (except Davidson and MacKinnon, 1993). The below theorem is a simplification of Theorem 1 in Albert and Anderson (1984).

Theorem

If there is complete separation i.e., if there exists β such that $\mathbf{x}'_i\beta > 0$ for i such that $y_i = 1$; $\mathbf{x}'_i\beta < 0$ for i such that $y_i = 0$. Then, the Maximum Likelihood estimates of β in Logit model do not exist i.e., not finite.

Proof: For $k > 0$, let $\beta^* = k\beta$, $\ln L(k\beta) = \sum_{i=1}^N \ln \frac{\exp(y_i \mathbf{x}'_i k\beta)}{1 + \exp(\mathbf{x}'_i k\beta)}$. For i such that $y_i = 1$, $\mathbf{x}'_i\beta > 0 \implies -\mathbf{x}'_i k\beta \rightarrow -\infty$ as $k \rightarrow \infty \implies \sum_{i:y_i=1} \ln \frac{1}{1 + \exp(-\mathbf{x}'_i k\beta)} = 0$ as $k \rightarrow \infty$. For i such that $y_i = 0$, $\mathbf{x}'_i\beta < 0 \implies \mathbf{x}'_i k\beta \rightarrow -\infty$ as $k \rightarrow \infty \implies \sum_{i:y_i=0} \ln \frac{1}{1 + \exp(\mathbf{x}'_i k\beta)} = 0$ as $k \rightarrow \infty$. Thus, $\ln L$ reaches its highest possible value 0 when $k \rightarrow \infty$. Maximizing $\ln L(.) \implies k \rightarrow \infty \implies \beta^* \rightarrow \infty$ or $-\infty$. Q.E.D.

Remark: the complete separation condition means there is a separating hyperplane perfectly separating the observations. This can be checked visually with at most 3 explanatory variables for human being. If $\widehat{Pr}(y_i = 1 | \mathbf{x}_i) = 1$ for $\forall y_i = 1$ and $\widehat{Pr}(y_i = 1 | \mathbf{x}_i) = 0$ for $\forall y_i = 0$ or the log-likelihood is zero or the estimated covariance matrix is extremely large, there may be complete separation (Agresti, 2012).

7 Berkson's Minimum Chi-square Estimator

$$p_t := Pr(y_{it} = 1 | \mathbf{x}_{it} = \mathbf{x}_t) = F(\mathbf{x}'_t \boldsymbol{\beta})$$

$$F^{-1}(p_t) = \mathbf{x}'_t \boldsymbol{\beta}$$

p_t can be estimated by $\bar{p}_t = \bar{y}_t = N_t^{-1} \sum_{i=1}^{N_t} y_{it}$

$$F^{-1}(\bar{p}_t) - F^{-1}(\bar{p}_t) + F^{-1}(p_t) = \mathbf{x}'_t \boldsymbol{\beta}$$

$$F^{-1}(\bar{p}_t) = \mathbf{x}'_t \boldsymbol{\beta} + \underbrace{F^{-1}(\bar{p}_t) - F^{-1}(p_t)}_{v_t}$$

First order Taylor expansion of $F^{-1}(\bar{p}_t)$ centered at p_t ,

$$F^{-1}(\bar{p}_t) \approx F^{-1}(p_t) + \frac{dF^{-1}(\bar{p}_t)}{d\bar{p}_t} \Big|_{p_t} (\bar{p}_t - p_t) = F^{-1}(p_t) + \frac{1}{f(p_t)} (\bar{p}_t - p_t) \iff v_t = F^{-1}(\bar{p}_t) - F^{-1}(p_t) = \frac{\bar{p}_t - p_t}{f(p_t)}$$

$$Var(v_t) \approx Var\left(\frac{\bar{p}_t - p_t}{f(p_t)}\right) = \frac{1}{(f(p_t))^2} Var(\bar{p}_t) = \frac{1}{(f(p_t))^2} \frac{p_t(1-p_t)}{N_t} = \frac{p_t(1-p_t)}{(f(p_t))^2 N_t}$$

Since $Var(\bar{p}_t) = N_t^{-2} Var(\sum_{i=1}^{N_t} y_{it}) = N_t^{-2} \cdot N_t p_t(1-p_t) = \frac{p_t(1-p_t)}{N_t}$.

As $Var(v_t | \mathbf{x}_t)$ depends on t , there is heteroskedasticity. GLS (WLS here) can be used to estimate $\boldsymbol{\beta}$ efficiently.

$$\hat{\boldsymbol{\beta}}_{chi} = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T Var(v_t | \mathbf{x}_t)^{-1} (F^{-1}(\bar{p}_t) - \mathbf{x}'_t \boldsymbol{\beta})^2$$

7.1 Special Case: $F(\cdot)$ is an identity function

$$\mathbb{E}(v_t) = \mathbb{E}(\bar{p}_t - p_t) = N_t^{-1} \mathbb{E}(\sum_{i=1}^{N_t} y_{it}) - p_t = N_t^{-1} \cdot N_t p_t - p_t = 0$$

$$Var(v_t) = \frac{p_t(1-p_t)}{1^2 N_t} = \frac{p_t(1-p_t)}{N_t}$$

$$\hat{\boldsymbol{\beta}}_{chi} = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T \frac{N_t}{\bar{p}_t(1-\bar{p}_t)} (\bar{p}_t - \mathbf{x}'_t \boldsymbol{\beta})^2 = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T \left[\sqrt{\frac{N_t}{\bar{p}_t(1-\bar{p}_t)}} \bar{p}_t - \left(\sqrt{\frac{N_t}{\bar{p}_t(1-\bar{p}_t)}} \mathbf{x}_t \right)' \boldsymbol{\beta} \right]^2$$

It is called minimum chi-square method.

7.2 Special Case: $F(\cdot)$ is a logistic function

$$Var(v_t) \approx \frac{p_t(1-p_t)}{[p_t(1-p_t)]^2 N_t} = \frac{1}{N_t p_t(1-p_t)}$$

$$\hat{\boldsymbol{\beta}}_{chi} = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T N_t \bar{p}_t(1-\bar{p}_t) (\logit(\bar{p}_t) - \mathbf{x}'_t \boldsymbol{\beta})^2 = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T \left[\sqrt{N_t \bar{p}_t(1-\bar{p}_t)} \logit(\bar{p}_t) - (\sqrt{N_t \bar{p}_t(1-\bar{p}_t)} \mathbf{x}_t)' \boldsymbol{\beta} \right]^2$$

It is called minimum logit chi-square method. It can be shown

$$\sqrt{T}(\hat{\boldsymbol{\beta}}_{chi} - \boldsymbol{\beta}_0) \rightarrow_d N(\mathbf{0}, \left[\sum_{t=1}^T \frac{N_t \exp(\mathbf{x}'_t \boldsymbol{\beta}_0)}{(1 + \exp(\mathbf{x}'_t \boldsymbol{\beta}_0))^2} \mathbf{x}_t \mathbf{x}'_t \right]^{-1})$$

7.3 Special Case: $F(\cdot)$ is standard normal cdf

$$Var(v_t) \approx \frac{p_t(1-p_t)}{(\phi(p_t))^2 N_t}$$

$$\hat{\boldsymbol{\beta}}_{chi} = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T \frac{(\phi(\bar{p}_t))^2 N_t}{\bar{p}_t(1-\bar{p}_t)} (\Phi^{-1}(\bar{p}_t) - \mathbf{x}'_t \boldsymbol{\beta})^2 = \arg \min_{\boldsymbol{\beta}} \sum_{t=1}^T \left[\sqrt{\frac{(\phi(\bar{p}_t))^2 N_t}{\bar{p}_t(1-\bar{p}_t)}} \Phi^{-1}(\bar{p}_t) - \left(\sqrt{\frac{(\phi(\bar{p}_t))^2 N_t}{\bar{p}_t(1-\bar{p}_t)}} \mathbf{x}_t \right)' \boldsymbol{\beta} \right]^2$$

8 Semi-parametric Estimation

8.1 Maximum Score Estimation (Manski, 1975)

We predict $y_i = 1$ if $\mathbf{x}'_i\boldsymbol{\beta} > 0$. We predict $y_i = 0$ if $\mathbf{x}'_i\boldsymbol{\beta} \leq 0$. The Score function, which counts the number of correct observations, is defined as

$$\begin{aligned}
 S_N(\boldsymbol{\beta}) &:= \sum_{i=1}^N \{y_i 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + (1 - y_i) 1(\mathbf{x}'_i\boldsymbol{\beta} \leq 0)\} \\
 &= \sum_{i=1}^N \{y_i 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + (1 - y_i)(1 - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0))\} \\
 &= \sum_{i=1}^N \{y_i 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + 1 - y_i - (1 - y_i) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)\} \\
 &= \sum_{i=1}^N \{y_i 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + 1 - y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + y_i 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)\} \\
 &= \sum_{i=1}^N \{(2y_i - 1) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + 1 - y_i\} \\
 &= \sum_{i=1}^N (2y_i - 1) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + N - \sum_{i=1}^N y_i
 \end{aligned}$$

The Maximum Score Estimator is

$$\hat{\boldsymbol{\beta}} = \arg \max_{\boldsymbol{\beta}} \sum_{i=1}^N (2y_i - 1) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) \quad \text{can not use differentiation}$$

MSE can be regarded as Least Absolute Deviation (LAD) Estimator. It can be seen

$$\begin{aligned}
 Q_N(\boldsymbol{\beta}) &= N - S_N(\boldsymbol{\beta}) \\
 &= \sum_{i=1}^N (1 - \{(2y_i - 1) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) + 1 - y_i\}) \\
 &= \sum_{i=1}^N \{y_i - (2y_i - 1) 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)\} \\
 &= \sum_{i=1}^N \begin{cases} 1 - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) & \text{if } y_i = 1 \\ 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) & \text{if } y_i = 0 \end{cases} \\
 &= \sum_{i=1}^N \begin{cases} y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) & \text{if } y_i = 1 \\ -(y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)) & \text{if } y_i = 0 \end{cases} \\
 &= \sum_{i=1}^N \begin{cases} |y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)| & \text{if } y_i = 1 \text{ as } 1 - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) \geq 0 \\ |y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)| & \text{if } y_i = 0 \text{ as } 0 - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0) \leq 0 \end{cases} \\
 &= \sum_{i=1}^N |y_i - 1(\mathbf{x}'_i\boldsymbol{\beta} > 0)| \\
 &= \sum_{i=1}^N |y_i - \text{Median}(y_i | \mathbf{x}_i)|
 \end{aligned}$$

The last line since

$$\begin{aligned}
\text{Median}(y_i|\mathbf{x}_i) &= \text{Median}(1(y_i^* > 0)|\mathbf{x}_i) \\
&= 1(\text{Median}(y_i^*|\mathbf{x}_i) > 0) \\
&= 1(\text{Median}(\mathbf{x}_i'\boldsymbol{\beta} + u_i|\mathbf{x}_i) > 0) \\
&= 1(\text{Median}(\mathbf{x}_i'\boldsymbol{\beta}|\mathbf{x}_i) + \underbrace{\text{Median}(u_i|\mathbf{x}_i)}_0 > 0) \quad \text{assume } 0 \\
&= 1(\mathbf{x}_i'\boldsymbol{\beta} > 0)
\end{aligned}$$

Assume $\text{Median}(u_i|\mathbf{x}_i) = 0$, $\hat{\boldsymbol{\beta}}$ is consistent but $N^{1/3}(\hat{\boldsymbol{\beta}} - \boldsymbol{\beta})$ converges in distribution to non-normal distribution.

8.2 Semi-parametric MLE (Klein & Spady, 1993)

8.2.1 Algorithm

For $t = 1 \dots$

Use $\boldsymbol{\beta}^{(t)}$, estimate $F^{(t)}$ by local constant (Nadaraya–Watson) estimator,

$$F^{(t)}(\mathbf{x}'\boldsymbol{\beta}^{(t)}) = \frac{\sum_{j=1}^N y_j K((\mathbf{x}_j - \mathbf{x})'\boldsymbol{\beta}^{(t)}/h)}{\sum_{j=1}^N K((\mathbf{x}_j - \mathbf{x})'\boldsymbol{\beta}^{(t)}/h)}$$

Given $F^{(t)}$ and $\boldsymbol{\beta}^{(t)}$, compute $\boldsymbol{\beta}^{(t+1)}$ by gradient descent method i.e., $\boldsymbol{\beta}^{(t+1)} = \boldsymbol{\beta}^{(t)} + \alpha \frac{\partial Q_N^{(t)}(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}}|_{\boldsymbol{\beta}^{(t)}}$ where

$$\frac{\partial Q_N^{(t)}(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}}|_{\boldsymbol{\beta}^{(t)}} = \sum_{i=1}^N \frac{y_i - F^{(t)}(\mathbf{x}_i'\boldsymbol{\beta}^{(t)})}{F^{(t)}(\mathbf{x}_i'\boldsymbol{\beta}^{(t)})(1 - F^{(t)}(\mathbf{x}_i'\boldsymbol{\beta}^{(t)}))} F^{(t)'}(\mathbf{x}_i'\boldsymbol{\beta}^{(t)}) \mathbf{x}_i$$

Loop until convergence of $\boldsymbol{\beta}^{(t)}$.

The advantage of this approach is that we do not have to specify $F(\cdot)$. However, the algorithm is slow by its nature. *np* package in R provides a convenient function for performing the above algorithm.

```
library(np)

# the first beta is normalized to one
summary(npindex(y ~ x1 + x2, method = "kleinspady", gradients = TRUE, data = d))
```

8.2.2 Asymptotic Distribution

Given certain regularity conditions,

$$\sqrt{N}(\hat{\boldsymbol{\beta}}_{KS} - \boldsymbol{\beta}_0) \rightarrow_d N(\mathbf{0}, \{\mathbb{E}[\frac{\partial F(\mathbf{x}'\boldsymbol{\beta})}{\partial \boldsymbol{\beta}}(\frac{\partial F(\mathbf{x}'\boldsymbol{\beta})}{\partial \boldsymbol{\beta}})'\frac{1}{F(\mathbf{x}'\boldsymbol{\beta})(1 - F(\mathbf{x}'\boldsymbol{\beta}))}]\}^{-1})$$

9 References

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10 Appendix A: Newton's Method

10.1 Objective Function

$f(\boldsymbol{\theta})$ is the objective function. Second order Taylor approximation of $f(\boldsymbol{\theta})$ centered at $\boldsymbol{\theta}_0$ is

$$f(\boldsymbol{\theta}) \approx f(\boldsymbol{\theta}_0) + \left(\frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}\right)'|_{\boldsymbol{\theta}_0}(\boldsymbol{\theta} - \boldsymbol{\theta}_0) + \frac{1}{2}(\boldsymbol{\theta} - \boldsymbol{\theta}_0)' \frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0}(\boldsymbol{\theta} - \boldsymbol{\theta}_0)$$

10.2 First Order Condition

$$\begin{aligned} \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_1} &\approx \frac{\partial[f(\boldsymbol{\theta}_0) + (\frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}})'|_{\boldsymbol{\theta}_0}(\boldsymbol{\theta} - \boldsymbol{\theta}_0) + \frac{1}{2}(\boldsymbol{\theta} - \boldsymbol{\theta}_0)' \frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0}(\boldsymbol{\theta} - \boldsymbol{\theta}_0)]}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_1} = \mathbf{0} \\ \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_0} + \frac{1}{2} \frac{\partial(\boldsymbol{\theta} - \boldsymbol{\theta}_0)'}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_1} \left(\frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0} + \left(\frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0}\right)' \right) (\boldsymbol{\theta}_1 - \boldsymbol{\theta}_0) &= \mathbf{0} \\ \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_0} + \frac{1}{2} \cdot 1 \cdot 2 \frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0} (\boldsymbol{\theta}_1 - \boldsymbol{\theta}_0) &= \mathbf{0} \\ \boldsymbol{\theta}_1 &= \boldsymbol{\theta}_0 - \left[\frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_0}\right]^{-1} \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_0} \end{aligned}$$

Thus, Newton method is $\boldsymbol{\theta}_{t+1} = \boldsymbol{\theta}_t - \left[\frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'}|_{\boldsymbol{\theta}_t}\right]^{-1} \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}}|_{\boldsymbol{\theta}_t}$, learning rate/step size can also be added.

11 Appendix B: Fisher's Scoring

The difference between Fisher's scoring and Newton's method is that the former uses expected Hessian matrix while the latter uses observed Hessian matrix.

11.1 Binary Outcome Model is a Non-linear Model

$$\begin{aligned}
 y_i &= F(\mathbf{x}'_i \boldsymbol{\beta}_0) + e_i \\
 &\approx F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) + F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) \mathbf{x}'_i (\boldsymbol{\beta}_0 - \hat{\boldsymbol{\beta}}) + e_i \\
 \underbrace{y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}_{y_i^*} + \underbrace{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) \mathbf{x}'_i \hat{\boldsymbol{\beta}}}_{\mathbf{x}_i^{*'}} &\approx \underbrace{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) \mathbf{x}'_i \boldsymbol{\beta}_0}_{\mathbf{x}_i^{*'}} + e_i
 \end{aligned}$$

where $Var(e_i | \mathbf{x}_i) = F(\mathbf{x}'_i \boldsymbol{\beta}_0)(1 - F(\mathbf{x}'_i \boldsymbol{\beta}_0))$.

11.2 Fisher's Scoring

$$\begin{aligned}
 \hat{\boldsymbol{\beta}}^+ &= \hat{\boldsymbol{\beta}} - \{\mathbb{E}[\frac{\partial^2 \ln L_N(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} | \hat{\boldsymbol{\beta}}]\}^{-1} \frac{\partial \ln L_N(\boldsymbol{\beta})}{\partial \boldsymbol{\beta}} |_{\hat{\boldsymbol{\beta}}} \\
 &= \hat{\boldsymbol{\beta}} + \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})^2}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i \mathbf{x}'_i\}^{-1} \sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} (y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})) \mathbf{x}_i \\
 &= \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})^2}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i \mathbf{x}'_i\}^{-1} \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i (y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})) + \sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})^2}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i \mathbf{x}'_i \hat{\boldsymbol{\beta}}\} \\
 &= \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})^2}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i \mathbf{x}'_i\}^{-1} \{\sum_{i=1}^N \frac{F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}})}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i \{y_i - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) + F'(\mathbf{x}'_i \hat{\boldsymbol{\beta}}) \mathbf{x}'_i \hat{\boldsymbol{\beta}}\} \\
 &= \{\sum_{i=1}^N \frac{1}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i^* \mathbf{x}_i^{*'}\}^{-1} \{\sum_{i=1}^N \frac{1}{F(\mathbf{x}'_i \hat{\boldsymbol{\beta}})(1 - F(\mathbf{x}'_i \hat{\boldsymbol{\beta}}))} \mathbf{x}_i^* y_i^*\}
 \end{aligned}$$

It loops until convergence. Thus, Fisher's scoring is an Iterative Reweighted Least Squares estimation. Expected Hessian matrix is equal to observed Hessian matrix if $F(\cdot)$ is Logistic function (generally, if $F(\cdot)$ is canonical mean function in Generalized Linear Model). Therefore, Fisher's score is the same as Newton's method for Logit model.

12 Appendix C: Gauss-Newton Method

12.1 Objective Function

For non-linear model $\mathbf{y} = \mathbf{g}(\boldsymbol{\theta}_0) + \boldsymbol{\varepsilon}$,

$$f(\boldsymbol{\theta}) = (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))$$

12.2 Approximate Newton's Method

12.2.1 Gradient Vector

$$\begin{aligned} \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}} &= \frac{\partial (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))}{\partial \boldsymbol{\theta}} \\ &= \frac{\partial (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))'}{\partial \boldsymbol{\theta}} (\mathbf{W} + \mathbf{W}') (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \\ &= -2 \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \right)' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \end{aligned}$$

12.2.2 Hessian Matrix

$$\begin{aligned} \frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'} &= -2 \frac{\partial \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \right)' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}))}{\partial \boldsymbol{\theta}'} \\ &= -2 \left[\frac{\partial^2 \mathbf{g}(\boldsymbol{\theta})'}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'} \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) - \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \right)' \mathbf{W} \frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \right] \\ &\approx 2 \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \right)' \mathbf{W} \frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \end{aligned}$$

The first term is discarded because $\mathbb{E}(\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \rightarrow_p \mathbf{0}$. Proof: $\boldsymbol{\theta} \rightarrow_p \boldsymbol{\theta}_0$ when $N \rightarrow \infty$. By continuous mapping theorem, $\mathbf{y} - \mathbf{g}(\boldsymbol{\theta}) \rightarrow_p \mathbf{y} - \mathbf{g}(\boldsymbol{\theta}_0) = \boldsymbol{\varepsilon}$. Thus, $\mathbb{E}(\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \rightarrow_p \mathbb{E}(\boldsymbol{\varepsilon}) = \mathbf{0}$.

12.2.3 Apply Newton's Method

$$\begin{aligned} \boldsymbol{\theta}_{t+1} &= \boldsymbol{\theta}_t - \left[\frac{\partial^2 f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta} \partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right]^{-1} \frac{\partial f(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}} \Big|_{\boldsymbol{\theta}_t} \\ &\approx \boldsymbol{\theta}_t - \left[2 \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} \frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right]^{-1} \left[-2 \left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \right] \\ &= \boldsymbol{\theta}_t + \left[\left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} \frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right]^{-1} \left[\left(\frac{\partial \mathbf{g}(\boldsymbol{\theta})}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} (\mathbf{y} - \mathbf{g}(\boldsymbol{\theta})) \right] \end{aligned}$$

It can also be written as

$$= \boldsymbol{\theta}_t - \left[\left(\frac{\partial \mathbf{u}}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} \frac{\partial \mathbf{u}}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right]^{-1} \left[\left(\frac{\partial \mathbf{u}}{\partial \boldsymbol{\theta}'} \Big|_{\boldsymbol{\theta}_t} \right)' \mathbf{W} \mathbf{u} \right]$$

where $\mathbf{u} = \mathbf{y} - \mathbf{g}(\boldsymbol{\theta})$.

13 Appendix D: Hessian Matrix of Logit and Probit Model is Negative Definite

13.1 Hessian Matrix

$$\frac{\partial^2 \ln L(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} = \sum_{i=1}^N \left[-\left(\frac{y_i}{F(\mathbf{x}_i' \boldsymbol{\beta})} + \frac{1-y_i}{(1-F(\mathbf{x}_i' \boldsymbol{\beta}))^2} \right) F'(\mathbf{x}_i' \boldsymbol{\beta})^2 + \left(\frac{y_i}{F(\mathbf{x}_i' \boldsymbol{\beta})} - \frac{1-y_i}{1-F(\mathbf{x}_i' \boldsymbol{\beta})} \right) F''(\mathbf{x}_i' \boldsymbol{\beta}) \right] \mathbf{x}_i \mathbf{x}_i'$$

For $y_i = 1$, the summand is $[-\frac{1}{F(\mathbf{x}_i' \boldsymbol{\beta})^2} F'(\mathbf{x}_i' \boldsymbol{\beta})^2 + \frac{1}{F(\mathbf{x}_i' \boldsymbol{\beta})} F''(\mathbf{x}_i' \boldsymbol{\beta})] \mathbf{x}_i \mathbf{x}_i'$

For $y_i = 0$ and $F(-z) = 1 - F(z)$, the summand is $[-\frac{1}{F(-\mathbf{x}_i' \boldsymbol{\beta})^2} F'(-\mathbf{x}_i' \boldsymbol{\beta})^2 + \frac{1}{F(-\mathbf{x}_i' \boldsymbol{\beta})} F''(-\mathbf{x}_i' \boldsymbol{\beta})] \mathbf{x}_i \mathbf{x}_i'$

Thus, it can be written as

$$\begin{aligned} \frac{\partial^2 \ln L(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} &= \sum_{i=1}^N \left[-\frac{1}{F((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta})^2} F'((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta})^2 + \frac{1}{F((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta})} F''((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta}) \right] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N \left[\frac{F((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta}) F''((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta}) - F'((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta})^2}{F((2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta})^2} \right] \mathbf{x}_i \mathbf{x}_i' \end{aligned}$$

If F is log-concave, then $FF'' - F'^2 \leq 0$ and thus Hessian matrix is negative semi-definite given $\sum_{i=1}^N \mathbf{x}_i \mathbf{x}_i'$ is positive definite. As Logistic function and standard normal cdf is log-concave (both standard logistic and standard normal distribution are in the family of log-concave distribution), Hessian matrix of Logit and Probit model are negative semi-definite. However, if we apply their properties directly, we can show that they are negative definite.

13.2 Properties of Logistic Function $\Lambda(c) = 1/(1 + \exp(-c))$

It is easy to verify that $0 < \Lambda(c) < 1$ and $\Lambda(-c) = 1 - \Lambda(c)$ and $\Lambda'(c) = \Lambda(c)(1 - \Lambda(c))$ and $\Lambda''(c) = \Lambda(c)(1 - \Lambda(c))(1 - 2\Lambda(c))$ for any c .

13.3 Hessian Matrix of Logit Model

Let $z_i = (2y_i - 1)\mathbf{x}_i' \boldsymbol{\beta}$,

$$\begin{aligned} \frac{\partial^2 \ln L(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} &= \sum_{i=1}^N \left[\frac{\Lambda(z_i) \Lambda''(z_i) - \Lambda'(z_i)^2}{\Lambda(z_i)^2} \right] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N \left[\frac{\Lambda(z_i)^2 (1 - \Lambda(z_i)) (1 - 2\Lambda(z_i)) - \Lambda(z_i)^2 (1 - \Lambda(z_i))^2}{\Lambda(z_i)^2} \right] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N [1 - 3\Lambda(z_i) + 2\Lambda(z_i)^2 - (1 - 2\Lambda(z_i) + \Lambda(z_i)^2)] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N [\Lambda(z_i)^2 - \Lambda(z_i)] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N [\Lambda(z_i)(\Lambda(z_i) - 1)] \mathbf{x}_i \mathbf{x}_i' \end{aligned}$$

The Hessian matrix is negative definite because $\Lambda(z_i)(\Lambda(z_i) - 1) < 0$ for $\forall i$ and $\sum_{i=1}^N \mathbf{x}_i \mathbf{x}_i'$ is assumed to be positive definite.

13.4 Properties of Standard Normal Distribution Function

It is easy to verify that $0 < \Phi(c) < 1$ and $\Phi(-c) = 1 - \Phi(c)$ and $\Phi'(c) = \phi(c)$ and $\Phi''(c) = \phi'(c) = -c\phi(c)$ for any c . $\frac{\phi(c)}{\Phi(c)}$ is called inverse Mills' ratio, which is a convex function of c , $\frac{\phi(c)}{\Phi(c)} \rightarrow -c$ if $c \rightarrow -\infty$, $\frac{\phi(c)}{\Phi(c)} \rightarrow 0$ if $c \rightarrow \infty$ (Newey and McFadden, 1994 p.2125). This implies $\frac{\phi(c)}{\Phi(c)} > -c$ for all c .

13.5 Hessian Matrix of Probit Model

Let $z_i = (2y_i - 1)\mathbf{x}_i'\boldsymbol{\beta}$,

$$\begin{aligned}\frac{\partial^2 \ln L(\boldsymbol{\beta})}{\partial \boldsymbol{\beta} \partial \boldsymbol{\beta}'} &= \sum_{i=1}^N \left[\frac{\Phi(z_i)\Phi''(z_i) - \Phi'(z_i)^2}{\Phi(z_i)^2} \right] \mathbf{x}_i \mathbf{x}_i' \\ &= \sum_{i=1}^N \left[-z_i \frac{\phi(z_i)}{\Phi(z_i)} - \left(\frac{\phi(z_i)}{\Phi(z_i)} \right)^2 \right] \mathbf{x}_i \mathbf{x}_i' \\ &= - \sum_{i=1}^N \left(z_i + \frac{\phi(z_i)}{\Phi(z_i)} \right) \frac{\phi(z_i)}{\Phi(z_i)} \mathbf{x}_i \mathbf{x}_i'\end{aligned}$$

As $z_i + \frac{\phi(z_i)}{\Phi(z_i)} > 0$ for $\forall i$ (by its property) and $\sum_{i=1}^N \mathbf{x}_i \mathbf{x}_i'$ is assumed to be positive definite, the Hessian matrix is negative definite.